COMPOSITE SCHEME OF ARRANGEMENT

AMONGST

KALPATARU RETAIL VENTURES LIMITED

(Formerly known as Kalpataru Retail Ventures Private Limited)

("KRVL" OR "DEMERGED COMPANY" OR "TRANSFEROR COMPANY 1")

AND

KALPATARU PROPERTIES (THANE) LIMITED

(Formerly known as Kalpataru Properties (Thane) Private Limited)

("KPTL" OR "RESULTING COMPANY")

AND

ALDER RESIDENCY PRIVATE LIMITED

("ARPL" OR "TRANSFEROR COMPANY 2")

AND

KALPATARU RESIDENCY PRIVATE LIMITED

(Formerly known as Munot Infrastructure Development Private Limited)

("KRPL" OR "TRANSFEROR COMPANY 3")

AND

ARDOUR DEVELOPERS PRIVATE LIMITED

("ADPL" OR "TRANSFEROR COMPANY 4")

AND

ASPEN HOUSING PRIVATE LIMITED

("AHPL" OR "TRANSFEROR COMPANY 5")

AND

KALPATARU LIMITED

("KL" OR "TRANSFEREE COMPANY")

AND

THEIR RESPECTIVE SHAREHOLDERS

UNDER SECTIONS 230-232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013 AND RULES MADE THEREUNDER

PREAMBLE

This Composite Scheme of Arrangement ("the Scheme" as more particularly defined hereunder) is presented under Sections 230 to 232 and other applicable provisions of the Act (as defined below) provides for:

a) Demerger of the Demerged Undertaking (*defined in clause 1.9 of Part A of the Scheme*) from Kalpataru Retail Ventures Limited ("KRVL" or "Demerged Company" or "Transferor Company 1") into Kalpataru Properties (Thane) Limited ("KPTL" or "Resulting Company"), in the manner set out in Part B of the Scheme.

b) Amalgamation of:

(i) Kalpataru Retail Ventures Limited ("KRVL" or "Demerged Company" or "Transferor Company 1");
(ii) Alder Residency Private Limited ("ARPL" or "Transferor Company 2");
(iii) Kalpataru Residency Private Limited ("KRPL" or "Transferor Company 3");
(iv) Ardour Developers Private Limited ("ADPL" or "Transferor Company 4"); and
(v) Aspen Housing Private Limited ("AHPL" or "Transferor Company 5"),
(vi) with Kalpataru Limited ("KL" or "Transferee Company"), in the manner set out in Part C of the Scheme.

KRVL, KPTL, ARPL, KRPL, ADPL, AHPL and KL are collectively referred to as "Companies" and individually as "Company".

KRVL, ARPL, KRPL, ADPL and AHPL are collectively referred as "Transferor Companies"

In addition, this Scheme also provides for various other matters consequential or otherwise integrally connected therewith.

1. **Background of Companies**

1.1. **Kalpataru Retail Ventures Limited** (hereinafter referred to as "**KRVL**" or "**Demerged Company**" or "**Transferor Company 1**") was incorporated as a private limited company on 27th November, 2000, with the name 'Kalpataru Retail Ventures Private Limited' under the provisions of the Companies Act, 1956 in the State of Maharashtra, The Company was thereafter converted into a public limited company on 22nd May, 2026, and consequently its name was changed to Kalpataru Retail Ventures Limited. Pursuant to the conversion, the CIN of the Company was also changed to U41000MH2000PLC129761 and having its registered office at 101, Kalpataru Synergy, Opp. Grand Hyatt Santacruz (East), Mumbai – 400055, Maharashtra. KRVL is primarily engaged in the business of mall operations and real estate development. KRVL is a wholly owned subsidiary of KL.

1.2. **Kalpataru Properties (Thane) Limited** (hereinafter referred to as "**KPTL**" or "**Resulting Company**") was incorporated as a private limited company on 23rd October 1990, with the name 'Soham Property Developers Private Limited' under the provisions of the Companies Act, 1956 in the State of Maharashtra. The name was changed to 'Kalpataru Soham Property Developers Private Limited' with effect from 16th December, 1992, it was changed to 'Kalpataru Soham Property Private Limited' with effect from 13th May, 1999, and further changed to 'Kalpataru Properties (Thane) Private Limited' with effect from 23rd October, 2001, The Company was thereafter converted into a public limited company on 22nd May, 2026, and consequently its name was changed to Kalpataru Properties (Thane) Limited. Pursuant to the conversion, the CIN of the Company was also changed to U41000MH1990PLC058628and having its registered office at 92, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra. KPTL is primarily engaged in the business of real estate development. KPTL is a wholly owned subsidiary of KL.

1.3. **Alder Residency Private Limited** ("**ARPL**" or "**Transferor Company 2**") was incorporated as a private limited company on 22nd May 2008, with the name 'Arman Villas Private Limited' under the provisions of the Companies Act, 1956 in the State of Maharashtra. The name was changed to 'Alder Residency Private Limited' with effect from 13th July, 2021, and the ARPL's CIN is U45201MH2008PTC182570 and having its registered office at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra. ARPL is primarily engaged in the business of real estate development. ARPL is a step-down subsidiary of KL.

1.4. **Kalpataru Residency Private Limited** ("**KRPL**" or "**Transferor Company 3**") was incorporated as a private limited company on 24th April 2012, with the name 'Munot Infrastructure Development Private Limited' under the provisions of the Companies Act, 1956 in the State of Maharashtra. The name was changed to 'Kalpataru Residency Private Limited' with effect from 04th June, 2024, and the KRPL's CIN is U45400MH2012PTC230135 and having its registered office at 101, Kalpataru Synergy, Opp. Grand Hyatt,

Santacruz (East), Mumbai – 400055, Maharashtra. KRPL is primarily engaged in the business of real estate development. KRPL is a step-down subsidiary of KL.

1.5. **Ardour Developers Private Limited** (**"ADPL"** or **"Transferor Company 4"**) is a private limited company incorporated under the Companies Act, 1956 on 19th January 2008 with Corporate Identification Number: U45300MH2008PTC178011 and having its registered office at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra. ADPL is primarily engaged in the business of real estate development. ADPL is a step-down subsidiary of KL.

1.6. **Aspen Housing Private Limited** (**"AHPL"** or **"Transferor Company 5"**) was incorporated as a private limited company on 7th September 2007, with the name 'Aspen Agro Farms Private Limited' under the provisions of the Companies Act, 1956 in the State of Maharashtra. The name was changed to 'Aspen Housing Private Limited' with effect from 30th June, 2023, and the AHPL's CIN is U41001MH2007PTC173903 and having its registered office at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra. AHPL is primarily engaged in the business of real estate development. AHPL is a step-down subsidiary of KL.

1.7. **Kalpataru Limited** (**"Kalpataru"**, **"KL"** or **"Transferee Company"**) was incorporated as a private limited company on 22nd December, 1988, with the name 'Kalpataru Homes Private Limited' under the provisions of the Companies Act, 1956 in the State of Maharashtra. The name was changed to 'Kalpataru Homes Limited' with effect from 16th May, 1995, and further changed to 'Kalpataru Limited' with effect from 1st February, 2008 and the KL's CIN is L45200MH1988PLC050144 and having its registered office at 91, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055. KL is primarily engaged in the business of real estate development.

The shares of KL are listed and traded on BSE Limited and National Stock Exchange of India Limited.

2. **Rationale of the Scheme**

For Part B- Demerger and Vesting of Demerged Undertaking of the Demerged Company into the Resulting Company

2.1. The respective Board of Directors of the Demerged Company and Resulting Company intend to carve out the identified 'Korum Mall' business of the Demerged Company into the Resulting Company. The objective is to achieve a more robust and scalable operating structure that will enable expansion of business operations, a broader service and asset portfolio, realisation of economies of scale, operational and cost efficiencies, and

optimisation of logistics and resource deployment.

2.2. The proposed demerger of identified 'Korum Mall' business from the Demerged Company into the Resulting Company would *inter alia* have the following benefits:

1. The segregation of businesses shall enable focus and bring efficacy in management of identified 'Korum Mall' Business to be undertaken by the Resulting Company.
2. The segregation would result in efficient utilisation of the infrastructure facilities and optimum utilisation of the available resources;
3. Lead to clear strategic direction on account of segregation of both the businesses in which the group is engaged;
4. Segregation of the business will enable unlocking value of the consolidated business of each vertical thereby paving way for focused growth with a view to create significant stakeholder value;
5. Improve organisational capability and leadership, arising from the pooling of human capital that have the diverse skills, talent, and vast experience to compete successfully in an increasingly competitive industry; and
6. Moreover, the Scheme is expected to increase the long-term value for the shareholders of all the Companies (*as defined hereinafter*) and other stakeholders.

For Part C – Amalgamation of the Transferor Companies with Transferee Company

2.3. The Transferor Company 1 is a wholly owned subsidiary of the Transferee Company and Transferor Company 2, Transferor Company 3, Transferor Company 4 and Transferor Company 5 are step-down wholly owned subsidiaries of the Transferee Company, and with an intent to rationalise the group holding structure by way of reduction of number of entities, the Board of Directors of Transferor Companies and Transferee Company propose to merge the Transferor Companies with the Transferee Company.

2.4. The proposed amalgamation of Transferor Companies with Transferee Company would *inter alia* have the following benefits:

(i) Simplification of the group structure;

(ii) Reducing the number of legal entities, resulting into lesser administrative and regulatory compliances;

(iii) Streamlining the corporate structure of the group and consolidate the assets and Liabilities of the Transferor Companies with the Transferee Company;

(iv) Reduction in regulatory and legal compliances and avoidance of multiple records keeping; and

(v) Result in financial resources being efficiently merged and pooled leading to more effective and centralised management of funds, greater economies of scale, stronger base for future growth and rationalisation of costs by simplification of management structure leading to better administration and cost savings.

(vi) The proposed Amalgamation shall also benefit all the shareholders, creditors, employees and all other stakeholders and shall enable the companies to achieve and fulfil their objectives more efficiently and economically.

(vii) Avoid duplication of efforts and bring synergy in operations.

In view of the aforesaid, the Board of Directors of the Companies have considered and proposed this Scheme and matters incidental thereto pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Act.

3. **No Compromise or Arrangement with Creditors**

Under the proposed Scheme, there is no arrangement proposed to be entered into with the creditors, either secured and/or unsecured creditors of any of the Companies. No compromise is offered under this Scheme to any of the creditors of the Companies. The liability towards the creditors of the Demerged Company (relating to the Demerged Undertaking), is neither being reduced nor being extinguished but shall be assumed and discharged by the Resulting Company, in its ordinary course of business. Further, the liability towards the creditors of the Transferor Companies is neither being reduced nor being extinguished but shall be assumed and discharged by the Transferee Company, in its ordinary course of business.

4. **The Scheme is divided into the following parts:**

Part A	Dealing with Definitions, Interpretation and Share Capital of the Companies
Part B	Dealing with the Transfer and Vesting of the Demerged Undertaking of the Demerged Company into the Resulting Company
Part C	Dealing with Transfer and Vesting of the Transferor Companies into the Transferee Company
Part D	Dealing with General Terms and Conditions of the Scheme and other matters consequential and integrally connected thereto

PART A

DEFINITIONS AND SHARE CAPITAL

1. DEFINITIONS

In this Scheme, unless repugnant to the meaning or context thereof, the following expressions shall have the following meanings:

1.1. **'Act'** or **'the Act'** means the Companies Act, 2013 and rules made thereunder, including any statutory modifications, re-enactments or amendments thereof for the time being in force as the case may be;

1.2. **'Amalgamation'** shall have the meaning as defined under section 2(6) of the Income-tax Act, 2025;

1.3. **'Applicable Law(s)'** means any statute, law, regulation, ordinance, rule, judgment, order, decree, by-law, approval from the concerned authority, Government resolution, order, directive, guideline, policy, requirement, or other governmental restriction or any similar form of decision of, or determination by, or any interpretation or adjudication having the force of law of any of the foregoing, or other similar directives made pursuant to such laws, whether in effect on the date of this Scheme or at any time after such date by any concerned authority having jurisdiction over the matter in question;

1.4. **'Appointed Date'** means 1st April 2026 or any other date as may be approved by the National Company Law Tribunal ('NCLT') (as defined hereinafter);

1.5. **'Appropriate Authority'** means any national, state, provincial, local or similar governmental, quasi-governmental, statutory, regulatory, administrative authority, agency, commission, departmental or public body or authority, board, branch, tribunal or court or other entity authorized to make laws, rules, regulations, standards, requirements, procedures or to pass directions or orders, in each case having the force of law, or arbitral body having jurisdiction or any non-governmental regulatory or administrative authority, body or other organization to the extent that the rules, regulations and standards, requirements, procedures or orders of such authority, body or other organization have the force of law, the Registrar of Companies, Regional Director, Official Liquidator, National Company Law Tribunal and such other sectoral regulators or authorities as may be applicable;

1.6. **'Board of Directors'** means and includes the respective Boards of Directors of the Companies, as the case may be, or any committee constituted by the Board of Directors of any of the respective Companies for the purpose of this Scheme;

1.7. **'Demerged Company'** or **'Transferor Company** 1' means 'Kalpataru Retail Ventures Limited' or 'KRVL' bearing CIN U41000MH2000PLC129761, a public limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 101, Kalpataru Synergy, Opp. Grand Hyat Santacruz (East), Mumbai – 400055, Maharashtra;

1.8. **'Demerged Undertaking'** means the identified 'Korum Mall' business of KRVL, as identified by the Board of Directors of KRVL, on a going concern basis, comprising, inter alia, of all operations, assets, properties, liabilities, permits, licenses, registrations, approvals, contracts, rights, obligations and employees, in relation to and pertaining to such business and shall include without limitation:

a) all properties and assets, movable and immoveable, real and personal, in possession or reversion, corporeal and incorporeal, present and future, contingent or of whatsoever nature, wheresoever situated along with plots, land parcels, buildings including parking structures/spaces, offices, plant and machineries, STP systems, elevators, escalators, HVAC systems, chillers, DG sets, transformers, pumps, vehicles, investments (if any), capital work-in-progress, inventory, current assets, intangibles, office equipments, appliances, computers, accessories, furniture, fixtures and fittings, electrical fittings, permits, quotas, approvals, registrations, lease, tenancy rights, incentives, if any, municipal permissions, license, consents, powers of every kind, nature and description whatsoever in connection with or pertaining to or relatable to identified 'Korum Mall' business and all other permissions, rights, contracts (including rights under any contracts, government contracts, memorandum of understanding, etc.), development rights, transferable development rights, Floor Space Index (FSI), additional FSI, fungible FSI, premium FSI, all entitlements, deposits, advances and / or moneys paid or received by the Demerged Company in connection with or pertaining to or relatable to identified 'Korum Mall' business, all statutory licenses and / or permissions and / or approvals and / or filings to carry on the operations of identified 'Korum Mall' business, benefits of all agreements, import entitlements contracts and arrangements and all other interests in connection with or relating to identified 'Korum Mall' business ;

b) the entire development potential and FSI (by whatever name called) including base FSI, transferable development rights, development rights, additional FSI, premium FSI, ancillary FSI, FSI available by development of any scheme as may be applicable under applicable development regulations from time to time, in connection with or relating to identified 'Korum Mall' business;

c) all debts, loans whether secured or unsecured, liabilities including contingent liabilities and obligations of the Demerged Company pertaining to and / or arising out of and / or relatable to and or availed for the purposes of identified 'Korum Mall' business;

d) all security created over identified 'Korum Mall' business for securing the borrowings availed by the Demerged Company

e) all security created over properties and other assets comprised in the Demerged Undertaking or any part thereof provided by Demerged Company on behalf of other companies for availing of loan by such other companies;

f) all deposits and balances with Government, semi-Government, local and other authorities and bodies, customers and other persons, earnest moneys and / or security deposits paid or received by the Demerged Company directly or indirectly in connection with or relating to identified 'Korum Mall' business;

g) all agreements, rights, contracts, entitlements, permits, powers of attorney, licenses, registrations, insurance policies, approvals, consents, engagements, arrangements, subsidies, concessions, exemptions and all other privileges and benefits of every kind, nature and description whatsoever (including but not limited to benefits of tax relief including under the IT Act (as defined herein below) such as credit for advance tax, taxes deducted at source, tax collected at source, MAT credit, tax losses, unabsorbed depreciation, unutilized deposits or credits, goods and services tax credits etc.), refunds, benefits, concessions etc. relating to identified 'Korum Mall' business ;

h) all necessary books, records, agreements, contracts, appointment letters, files, papers, product specification, engineering and process information, records of standard operating procedures, computer programs along with their licenses, drawings, manuals, data, catalogues, quotations, sales and advertising materials, lists of present and former customers and suppliers, customer credit information, customer pricing information, and other records whether in physical or electronic form in connection with or relating to identified 'Korum Mall' business ;

i) all rights to use and avail of telephones, facsimile, email, internet, leased line connections and installations, utilities, electricity and other services, reserves, provisions, funds, benefits of assets or properties or other interests held in trusts, registrations, contracts, engagements, arrangement of all kinds, privileges and all other rights, easements, liberties and advantages of whatsoever nature and wheresoever situated belonging to or in the ownership, power or possession and in the control of or vested in or granted in favour of the Demerged Company or enjoyed by the Demerged Company or in connection with or relating to the Demerged Company and all other interests of whatsoever nature belonging to or in the ownership, power, possession or the control of or vested in or granted in favour of or held for the benefit of the identified 'Korum Mall' business;

j) all tax credits, refunds, reimbursements, claims, deductions, concessions, exemptions, benefits under Tax Laws including sales tax deferrals, advance taxes, tax deducted at source, right to carry forward and set-off accumulated losses and unabsorbed depreciation, if any, deferred tax assets/liabilities, goods and service tax credit, value added tax credit, service tax credit, deductions and benefits under the Income-tax Act or any other taxation statute enjoyed by the Demerged Company with respect to the identified 'Korum Mall' business;

k) all legal proceedings, suits, claims, disputes, causes of action, litigation, petitions, appeals, writs, legal, taxation or other proceedings of whatever nature, (including before any statutory or quasi-judicial authority or tribunal), under Applicable Law, in connection with the identified 'Korum Mall' business;

l) the technical qualifications, right to use the accreditations/pre-qualifications, credentials, work experience, track record with customers or other parties, contracts with clients and with vendors of the Demerged Company (acquired by reason of its operations in the past) including without limitation, the profitability, net worth, past financial parameters, incorporation history, turnover, goodwill and market share for all commercial and regulatory purposes including for the purposes of eligibility, standing, evaluation and participation in all existing and future bids, tenders in relation to the identified 'Korum Mall' business;

m) all insurance policies with respect to the identified 'Korum Mall' business;

n) all the respective employees of the Demerged Company substantially engaged in identified 'Korum Mall' business , and those employees that are determined by the Board of Directors of the Demerged Company to be substantially engaged in or relatable to identified 'Korum Mall' business as on the Effective Date (as defined hereinafter).

For the purposes of the definition of the Demerged Undertaking and this Scheme, it is clarified that liabilities pertaining to or relating to identified 'Korum Mall' business shall mean:

i. the debts, liabilities, including debentures and obligations incurred and duties of any kind, nature or description (including contingent liabilities) which arise out of the activities or operations of the Demerged Undertaking (identified 'Korum Mall' business);

ii. the specific loans, credit facilities, overdraft facilities and borrowings (including debentures, bonds, notes and other debt securities) raised, incurred and utilized solely for the activities or operations of the Demerged Undertaking (identified 'Korum Mall' business); and

iii. liabilities in cases, other than those referred to in sub-clauses (i) and (ii) above and not directly relatable to the Remaining Business of the Demerged Company, being the amounts of general or multipurpose borrowings, if any, of the Demerged Company, allocated to the Demerged Undertaking in the same proportion which the value of the assets transferred pursuant to the demerger of the Demerged Undertaking bears to the total value of the assets of the Demerged Company immediately prior to the Appointed Date, as prescribed under the IT Act (as defined hereinafter).

o) Any question that may arise as to whether a specified asset or liability and / or employee pertains to or does not pertain to the Demerged Undertaking or whether it arises out of the activities or operations of identified 'Korum Mall' business shall be decided by the Board of Directors of the Demerged Company and the Resulting Company.

It is hereby clarified that the Demerged Undertaking shall not include 'Remaining Business' or 'Remaining Undertaking';

1.9. **'Demerger'** shall have the meaning as defined under section 2(35) of the Income-tax Act, 2025;

1.10. **'Effective Date'** means the date or last of the dates on which the certified / authenticated copy of the order of the NCLT (as defined herein below) sanctioning this Scheme is filed with the Registrar of Companies, Maharashtra, Mumbai, by all the Companies.

1.11. **'Encumbrance'** or **'to Encumber'** means without limitation any options, claim, pre-emption right, easement, limitation, attachment, restraint, mortgage, charge (whether fixed or floating), pledge, lien, hypothecation, assignment, deed of trust, title retention, security interest, non-disposal agreement, shortfall undertaking, bank guarantees, corporate guarantees or other encumbrance or interest of any kind securing, or conferring any priority of payment in respect of any obligation of any person, including any right granted by a transaction which, in legal terms, is not the granting of security but which has an economic or financial effect similar to the granting of security under Applicable Law;

1.12. **'Government'** means any applicable Central, State Government or local body, legislative body, regulatory or administrative authority, agency or commission or any court, tribunal, board, bureau or instrumentality thereof or arbitration or arbitral body having jurisdiction over the territory of India;

1.13. **'IND AS'** or **'Accounting Standard'** means the accounting standards prescribed under Section 133 of the Act;

1.14. **'IT Act'** or **'Income Tax Act'** means the Income-tax Act, 2025, including any statutory modifications, re-enactments or amendments thereof for the time being in force read with the relevant rules, regulations and/or circulars issued thereunder;

1.15. **'National Company Law Tribunal' or 'NCLT'** means the National Company Law Tribunal, Mumbai Bench, having jurisdiction over the Demerged Company and the Resulting Company for the purpose of approving any scheme of compromises, arrangement and merger of companies under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and includes any other appropriate forum or authority or court empowered to approve this Scheme as per the Law for the time being in force;

1.16. **'New Shares'** means Non-Cumulative Redeemable Preference Shares to be issued by the Resulting Company to the equity shareholders of the Demerged Company as a consideration for the demerger of the Demerged Undertaking from the Demerged Company into the Resulting Company pursuant to this Scheme at such terms as mentioned in Schedule 1;

1.17. **'Parties'** or **'Companies'** means collectively the Demerged Company/Transferor Company 1, Resulting Company, Transferor Company 2, Transferor Company 3, Transferor Company 4, Transferor Company 5 and Transferee Company and "Party" or "Company" shall mean each of them, individually;

1.18. **"Record Date"** means a mutually agreed date to be fixed by the Board of Directors of the Demerged Company and the Resulting Company for the purposes of determining the shareholders of the Demerged Company to whom New Shares would be issued and allotted in accordance with Clause 9 of this Scheme;

1.19. **'Remaining Business' or 'Remaining Undertaking'** means the business, assets and liabilities of whatsoever nature and kind of the Demerged Company other than the Demerged Undertaking and includes all other

business units, divisions and their respective assets and liabilities including portion of general or multipurpose borrowings, contracts and employees not allocated to the Demerged Undertaking of the Demerged Company;

1.20. **'Registrar of Companies' or 'ROC'** means the Registrar of Companies, Maharashtra, Mumbai, in relation to the Companies;

1.21. **'RERA'** shall mean Real Estate Regulatory Authority;

1.22. **'MAHARERA'** shall mean Maharashtra Real Estate Regulatory Authority;

1.23. **'Resulting Company'** means 'Kalpataru Properties (Thane) Limited' or 'KPTL' bearing CIN U41000MH1990PLC058628, a public limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 92, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra;

1.24. **'Scheme of Arrangement'** or **'Scheme'** or **'the Scheme'** or **'this Scheme'** **'Composite Scheme of Arrangement'** means this Scheme of Arrangement in its present form with any modification(s) made under Clause 30 of Part D of this Scheme as approved or directed by the NCLT;

1.25. **"Stock Exchanges"** means collectively, BSE Limited and National Stock Exchange of India Limited;

1.26. **'Transferee Company'** means 'Kalpataru Limited' or 'Kalpataru' bearing CIN L45200MH1988PLC050144, a public limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 91, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra;

1.27. **'Transferor Company 2'** means 'Alder Residency Private Limited' or 'ARPL' bearing CIN U45201MH2008PTC182570, a private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra;

1.28. **'Transferor Company 3'** means 'Kalpataru Residency Private Limited' or 'KRPL' bearing CIN U45400MH2012PTC230135, a private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra;

1.29. **'Transferor Company 4'** means 'Ardour Developers Private Limited' or 'ADPL' bearing CIN U45300MH2008PTC178011, a private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra;

1.30. **'Transferor Company 5'** means 'Aspen Housing Private Limited' or 'AHPL' bearing CIN U41001MH2007PTC173903, a private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office situated at 101, Kalpataru Synergy, Opp. Grand Hyatt, Santacruz (East), Mumbai – 400055, Maharashtra;

2. INTERPRETATION

2.1. All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning as prescribed to them under the Act, the IT Act, or any other Applicable Laws, rules, regulations, bye laws, as the case may be, including any statutory modification or re-enactment thereof from time to time.

2.2. In this Scheme, unless the context otherwise requires:

a) the words "including", "include" or "includes" shall be interpreted in a manner as though the words "without limitation" immediately followed the same;

b) any document or agreement includes a reference to that document or agreement as varied, amended, supplemented, substituted, novated or assigned, from time to time, in accordance with the provisions of such a document or agreement;

c) the words "other", "or otherwise" and "whatsoever" shall not be construed ejusdem generis or be construed as any limitation upon the generality of any preceding words or matters specifically referred to;

d) the headings are inserted for ease of reference only and shall not affect the construction or interpretation of the relevant provisions of this Scheme;

e) the term "Clause" refers to the specified clause of this Scheme, as the case may be;

f) reference to any legislation, statute, regulation, rule, notification or any other provision of law means and includes references to such legal provisions as amended, supplemented or re-enacted from time to time, and any reference to legislation or statute includes any subordinate legislation made from time to time under such a legislation or statute and regulations, rules, notifications or circulars issued under such a legislation or statute;

g) words in the singular shall include the plural and *vice versa*.

3. DATE OF TAKING EFFECT AND OPERATIVE DATE

3.1. The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT, unless otherwise specified in the Scheme, shall be effective from the Appointed Date but shall be operative from the Effective Date.

3.2. Any references in the Scheme to "upon the Scheme coming into effect" or "upon the Scheme becoming effective" or "effectiveness of the Scheme" shall mean from the Effective Date.

Kalpataru Properties (Thane) Limited

ALDER RESIDENCY PRIVATE LIMITED

Kalpataru Retail Ventures Limited

KALPATARU RESIDENCY PVT. LTD.

Ardour Developers Pvt. Ltd.

ASPEN HOUSING PVT. LTD.

Kalpataru Limited

4. SHARE CAPITAL

4.1. The authorized, issued, subscribed and paid-up share capital of the Demerged Company or Transferor Company 1 as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
1,60,40,000 Equity shares of Rs. 10/- each	16,04,00,000/-
16,50,000 Optionally Convertible Preference Shares of Rs. 10/- each	1,65,00,000/-
50,000 Optionally Convertible Preference Shares of Rs. 10/- each	5,00,000/-
2,22,50,000 Non-Convertible Redeemable Preference Shares of Rs. 10/- each	22,25,00,000/-
TOTAL	**39,99,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
49,83,000 Equity shares of Rs. 10/- each, fully paid up	4,98,30,000/-
TOTAL	**4,98,30,000/-**

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of the Demerged Company or Transferor Company 1, there has been no change in the authorized share capital or the issued, subscribed and paid-up share capital of the Demerged Company or Transferor Company 1. The shares of the Demerged Company or Transferor Company 1 are not listed on any Stock Exchanges.

4.2. The authorized, issued, subscribed /and paid-up share capital of the Resulting Company as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
110,00,000 equity shares of Rs. 10 each	11,00,00,000
50,00,000 non-convertible redeemable preference shares of Re 1 each	50,00,000
TOTAL	**11,50,00,000/-**

Particulars	Amount (in Rs)
Issued, Subscribed and Paid-up Share Capital	
97,50,000 Equity Shares of Rs. 10/- each, fully paid up	9,75,00,000/-
TOTAL	**9,75,00,000/-**

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of the Resulting Company, there has been no change in the issued, subscribed and paid-up share capital of the Resulting Company. The shares of the Resulting Company are not listed on any Stock Exchanges.

4.3. The authorized, issued, subscribed /and paid-up share capital of the Transferor Company 2 as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
2,00,000 Equity Shares of Rs. 10/- each	20,00,000/-
TOTAL	**20,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
99,616 Equity Shares of Rs. 10/- each, fully paid up	9,96,160/-
TOTAL	**9,96,160/-**

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of Transferor Company 2, there has been no change in the authorized share capital or the issued, subscribed and paid-up share capital of the Transferor Company 2. The shares of the Transferor Company 2 are not listed on any Stock Exchanges.

4.4. The authorized, issued, subscribed /and paid-up share capital of the Transferor Company 3 as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
50,000 Equity Shares of Rs. 10/- each	5,00,000/-
TOTAL	**5,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
50,000 Equity Shares of Rs. 10/- each, fully paid up	5,00,000/-

Kalpataru Properties (Thane) Limited

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Kalpataru Retail Ventures Limited

KALPATARU RESIDENCY PVT. LTD.

Ardour Developers Pvt. Ltd.

ASPEN HOUSING PVT. LTD.

Kalpataru Limited

Particulars	Amount (in Rs)
TOTAL	**5,00,000/-**

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of Transferor Company 3, there has been no change in the authorized share capital or the issued, subscribed and paid-up share capital of the Transferor Company 3. The shares of the Transferor Company 3 are not listed on any Stock Exchanges.

4.5. The authorized, issued, subscribed /and paid-up share capital of the Transferor Company 4 as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
1,00,000 Equity Shares of Rs. 10/- each	10,00,000/-
TOTAL	**10,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
90,000 Equity Shares of Rs. 10/- each, fully paid up	9,00,000/-
TOTAL	**9,00,000/-**

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of Transferor Company 4, there has been no change in the authorized share capital or the issued, subscribed and paid-up share capital of the Transferor Company 4. The shares of the Transferor Company 4 are not listed on any Stock Exchanges.

4.6. The authorized, issued, subscribed /and paid-up share capital of the Transferor Company 5 as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
50,000 Equity Shares of Rs. 10/- each	5,00,000/-
TOTAL	**5,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
10,000 Equity Shares of Rs. 10/- each, fully paid up	1,00,000/-
TOTAL	**1,00,000/-**

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of Transferor Company 5, there has been no change in the authorized share capital or the issued, subscribed and paid-up share capital of the Transferor Company 5. The shares of the Transferor Company 5 are not listed on any Stock Exchanges.

4.7. The authorized, issued, subscribed /and paid-up share capital of the Transferee Company as on 31st March, 2026, is as under:

Particulars	Amount (in Rs)
Authorised Share Capital	
49,98,00,000 Equity Shares of Rs. 10/- each	4,99,80,00,000 /-
17,00,000 Redeemable Preference Shares of Rs. 10/- each	1,70,00,000/-
TOTAL	**5,01,50,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
20,59,13,993 Equity Shares of Rs. 10/- each, fully paid up	205,91,39,930
9,50,000 Redeemable Preference Shares of Rs. 10/- each	95,00,000/-
TOTAL	2,06,86,39,930

Subsequent to the above-mentioned date and till the date of this Scheme being approved by the Board of Directors of Transferee Company, there has been no change in the authorized share capital or the issued, subscribed and paid-up share capital of the Transferee Company. The equity shares of the Transferee Company are listed on the Stock Exchanges.

Further, the Transferee Company has 16,08,800 outstanding employee stock options under the existing stock option schemes, exercise of which may result in increase by an equal number of equity shares in the issued and paid-up share capital of the Transferee Company.

PART B

DEMERGER OF THE DEMERGED UNDERTAKING OF THE DEMERGED COMPANY INTO THE RESULTING COMPANY

5. TRANSFER AND VESTING OF THE DEMERGED UNDERTAKING OF THE DEMERGED COMPANY INTO THE RESULTING COMPANY

5.1. Subject to the provisions of this Scheme in relation to modalities of demerger and vesting, being sanctioned by the NCLT and filed with the Registrar of Companies, Maharashtra, Mumbai by the Transferor Companies and the Transferee Company, with effect from the Appointed Date, the Demerged Undertaking, altogether with all its present and future properties, assets, floor space index (FSI), additional FSI, Fungible FSI, premium FSI, development rights, Transferrable Development Rights (TDR), licenses, statutory licenses, quotas, incentives, NOCs, approvals, investments, rights, obligations, liabilities, benefits and interests therein, whether known or unknown, shall stand transferred to and vested into the Resulting Company (with clear and marketable title) on a 'going concern' basis, and all the present and future properties, assets, floor space index (FSI), additional FSI, Fungible FSI, premium FSI, development rights, Transferrable Development Rights (TDR), licenses, statutory licenses, quotas, incentives, NOCs, approvals, investments, rights, obligations, liabilities, benefits and interests of the Demerged Undertaking shall become the property of, and integral part of, the Resulting Company subject to the charges and encumbrances (to the extent they are outstanding on the Appointed Date), if any, created by the Demerged Company on its properties and assets in favor of lenders, as going concern, by operation of law pursuant to the vesting order of the NCLT sanctioning this Scheme, without any further act or deed required by either of the above, in particular, the Demerged Undertaking shall vest with and be available to the Resulting Company, in the manner described in sub-paragraph (a) to (o):

a) With effect from the Appointed Date, all assets and liabilities of the Demerged Undertaking of whatsoever nature and wheresoever situated, shall, under the provisions of Section 230 to Section 232 and all other applicable provisions, if any, of the Act, without any further act or deed, be transferred to and vested in and/ or be deemed to be transferred to and vested in the Resulting Company as a going concern. From the Appointed Date, the Demerged Undertaking of the Demerged Company shall vest in the Resulting Company along with all the rights, title, interests or obligations therein:

Provided that for the purpose of giving effect to the vesting order passed under Section 232 in respect of this Scheme, the Resulting Company shall be entitled to get effected the change in the title and the appurtenant legal right(s) upon the vesting of such properties in accordance with the provisions of the Act, at the office of the respective concerned authority, where any such property is situated;

b) All immovable properties pertaining to the Demerged Undertaking, whether freehold or leasehold and any documents of title, rights and easements in relation thereto, shall stand transferred and vested in the

Resulting Company, and shall become the property and an integral part of the Resulting Company without any further act, instrument or deed and without any approval or acknowledgement of any third party. Upon the Scheme coming into effect, the Resulting Company shall be entitled to exercise all rights and privileges and be liable to pay all taxes and charges, and fulfil all obligations, in relation to or applicable to such immovable properties. The mutation of the ownership or title, or interest in the immovable properties (whether freehold or leasehold) comprised in the Demerged Undertaking, in favor of the Resulting Company shall be made and duly recorded by the appropriate authorities pursuant to the sanction of this Scheme and it becoming effective in accordance with the terms thereof. The Demerged Company shall take all steps as may be necessary to ensure that lawful and peaceful possession, right, title, interest of such immovable property of the Demerged Undertaking is given to the Resulting Company in accordance with the terms hereof;

c) All the movable assets comprised in the Demerged Undertaking including cash in hand, if any, capable of passing by manual delivery or constructive delivery or by endorsement and delivery, shall be so delivered or endorsed and delivered, as the case may be, to the Resulting Company, to the end and intent that the ownership and property therein passes to the Resulting Company on such handing over in pursuance of the provisions of Section 232 of the Act (as an integral part of the Demerged Undertaking of the Demerged Company). The plant and machinery, which are fastened to land and/or buildings continue to remain movable properties inter alia because the said plant and machinery are fastened to land only with a view to have better enjoyment of the movable properties;

d) In respect of all movables comprised in the Demerged Undertaking, other than those specified in sub-clause (c) above, including trade receivables, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with Government, local and other authorities and bodies, customers and other persons, the same shall, without any further act, instrument or deed, be transferred to and stand vested in and/or be deemed to be transferred to and stand vested in the Resulting Company under the provisions of the Act;

e) In relation to the assets, properties and rights, including rights arising from contracts deeds, instruments and agreements including development agreements, if any, pertaining to the Demerged Undertaking, which require separate documents of transfer including documents for attornment or endorsement, as the case may be, the Resulting Company and the Demerged Company will execute the necessary documents of transfer including documents for attornment or endorsement, as the case may be, as and when required or will enter into a novation agreement;

f) All debts, loans whether secured or unsecured, debentures (including secured, redeemable, non-convertible debentures), liabilities (including deferred tax liability, deposits, property tax), duties, guarantees, indemnities and obligations of every kind, nature, description, whether or not provided for

in the books of accounts and whether disclosed or unknown in the balance sheet pertaining to the Demerged Undertaking shall also, under the provisions of the Act, without any further act or deed, be transferred to or be deemed to be transferred to the Resulting Company on the same terms and conditions, as applicable, so as to become as from the Appointed Date the debts, loans (secured /unsecured), debentures, liabilities, duties, guarantees, indemnities and obligations of the Resulting Company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such debts, loans, debentures, liabilities, deposits, duties, guarantees, indemnities and obligations have arisen, in order to give effect to the provisions of this sub-clause;

It is hereby clarified that between the date of approval of this Scheme by the Board of Directors of the Demerged Company and the Resulting Company and the Effective Date, both the Demerged Company and the Resulting Company shall be permitted to raise and avail of fresh loans and borrowings (in any form whatsoever including through the issuance of debentures and/or other debt securities) for the purposes of the Demerged Undertaking. All such loans and other borrowings raised and all liabilities and obligations pertaining exclusively to the Demerged Undertaking and incurred by the Demerged Company after the Appointed Date and prior to the Effective Date shall be deemed to have been raised, used or incurred for and on behalf of the Resulting Company and to the extent they are outstanding on the Effective Date, shall also without any further act or deed be and stand transferred to the Resulting Company and shall become the liabilities and obligations of the Resulting Company who shall meet and discharge the same;

Where any of the debts, liabilities, loans raised and used, liabilities and obligations incurred, duties and obligations of the Demerged Company pertaining to the Demerged Undertaking as on the Appointed Date deemed to be transferred to the Resulting Company have been discharged by the Demerged Company after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to have been for and on account of the Resulting Company;

g) However, the Resulting Company may, at any time, after the coming into effect of this Scheme in accordance hereof, if so required, under any law or otherwise, execute deeds of confirmation in favor of the creditors, or lenders, as the case may be, or in favor of any other party to the contract or arrangement to which the Demerged Company are a party or any writing, as may be necessary, in order to give formal effect to the provisions mentioned in this Scheme. The Resulting Company shall under the provisions of the Scheme be deemed to be authorized to execute any such writings on behalf of the Demerged Company as well as to implement and carry out all such formalities and compliances referred to above;

h) All cheques and other negotiable instruments, payment order, electronic fund transfers (like NEFT, RTGS, etc.) received or presented for encashment which are in the name of the Demerged Company (in relation to the Demerged Undertaking) after the Effective Date shall be accepted by the bankers of the Resulting Company and credited to the account of the Resulting Company, if presented by the Resulting Company or received through electronic transfers. Similarly, the banker of the Resulting Company shall honour all cheques / electronic fund transfer instructions issued by the Demerged Company (in relation to the Demerged Undertaking) for payment after the Effective Date. If required, the bankers of the Demerged Company and the Resulting Company shall allow maintaining and operating of the bank accounts (including banking transactions carried out electronically) in the name of the Demerged Company by the Resulting Company in relation to the Demerged Undertaking for such time as may be determined to be necessary by the Resulting Company for presentation and deposition of cheques, pay orders and electronic transfers that have been issued/made in the name of the Resulting Company;

i) All existing securities, mortgages, charges, liens or other encumbrances, if any, as on the Appointed Date and created/to be created by the Demerged Company after the Appointed Date, over the properties and other assets comprised in the Demerged Undertaking or any part thereof, to the extent such securities, charges, mortgages, encumbrances are created to secure the liabilities forming part of the Demerged Company or any other companies which has availed any loans against the security provided by the Demerged Company over the properties and other assets comprised in the Demerged Undertaking or any part thereof, shall, after the Effective Date, continue to relate and attach to such assets and properties or any part thereof to which they are related or attached prior to the Effective Date.

Further, the filing of the certified copy of the order of the NCLT sanctioning this Scheme with the relevant Registrar of Companies, shall be deemed to be sufficient for creating or modifying the charges in favour of the secured creditors, if any, of the Demerged Company, as required as per the provisions of this Scheme and of the Resulting Company, in relation to the Demerged Undertaking, on the Effective Date.

j) All existing and future incentives, un-availed credits and exemptions, benefit of carried forward losses, unabsorbed depreciation, refunds available and other statutory benefits, including in respect of income tax (including tax deducted at source, tax collected at source and advance tax), excise (including MODVAT/ CENVAT), customs, VAT, sales tax, service tax (including input credit), goods and services tax etc. which the Demerged Undertaking of the Demerged Company is entitled to shall be available to and vest in Resulting Company;

k) All contracts, agreements including (debenture trust deeds), licenses, leases, service agreements/ contracts, development management agreements, development agreements, memoranda of

undertakings, memoranda of agreements, memoranda of agreed points, letters of agreed points, letters of intent, arrangements, undertakings, whether written or otherwise, deeds, bonds, agreements, schemes and other instruments and all rights and obligations thereunder, in each case, in relation to the Demerged Undertaking, to which the Demerged Company is a party, or to the benefit of which, the Demerged Company may be eligible/entitled in relation to the Demerged Undertaking, and which are subsisting or having effect immediately before the Effective Date, shall, without any further act, instrument or deed continue in full force and effect on, against or in favour of the Resulting Company and may be enforced as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or obligor thereto. If the Demerged Company enters into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or novations, in each case, in relation to the Demerged Undertaking, then the Resulting Company will, if necessary, also be party to such documents in order to give formal effect to the provisions of this Scheme, if so required. In relation to the same, any procedural requirements required to be fulfilled solely by the Demerged Company (and not by any of their successors), shall be fulfilled by the Resulting Company as if it is the duly constituted attorney of the Demerged Company in relation to the Demerged Undertaking;

l) In so far as the various incentives, subsidies, special status and other benefits or privileges enjoyed (including minimum alternate tax, sales tax, excise duty, custom duty, service tax, value added tax, goods and services tax and other incentives, including any profit linked incentives), granted by any Government body, local authority or by any other person and availed of by the Demerged Undertaking of the Demerged Company, the same shall vest with and be available to the Resulting Company on the same terms and conditions as presently available to the Demerged Company;

m) Upon coming into effect of this Scheme and till such time that the names of the bank accounts of the Demerged Undertaking of the Demerged Company (as identified) are replaced with that of the Resulting Company, the Resulting Company shall be entitled to operate the bank accounts of the Demerged Company, in its name, in so far as may be necessary;

n) With effect from the Appointed Date, all permits, quotas, rights, entitlements, tenancies and licenses relating to brands, trademarks, patents, copy rights, privileges, powers, facilities of every kind and description of whatsoever nature in relation to the Demerged Undertaking of the Demerged Company and which are subsisting or having effect immediately before the Appointed Date, shall be and remain in full force and effect in favor of the Resulting Company and may be enforced fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a beneficiary or obligee thereto;

o) With effect from the Appointed Date, any statutory licenses, permissions, approvals and/ or consents held by the Demerged Company as required to carry on the operations of the Demerged Undertaking shall stand vested in, or transferred to, the Resulting Company without any further act or deed and shall

be appropriately mutated by the statutory authorities or any other person concerned therewith in favor of the Resulting Company. The benefit of all statutory and regulatory permissions, licenses, environmental approvals and consents including the statutory licenses, permissions or approvals or consents required to carry on the operations of the Demerged Undertaking of the Demerged Company shall vest in, and become available to, the Resulting Company upon the Scheme coming into effect by virtue of the order of the NCLT. Further, any registration fees, charges etc. paid by the Demerged Company in relation to the aforementioned permissions, licenses, approvals, certificates, clearances and authorities, etc. shall be deemed to have been paid by the Resulting Company and consequently, the concerned Government authority shall carry out necessary mutations in favor of the Resulting Company.

5.2. All registrations, benefits, incentives, exemptions etc. in respect of the Demerged Undertaking which the Demerged Company is eligible for and / or which are actually availed by the Demerged Company will be transferred to the Resulting Company upon the Resulting Company intimating the concerned authority or undertaking the necessary actions for the transfer and / or the Board of Directors of the Resulting Company will be authorized to seek approval or enter into agreement with the concerned authority and /or undertake such other activity as is necessary for being eligible for such registrations, benefits, incentives, exemptions, etc. as were availed by the Demerged Company.

5.3. The Resulting Company, under the provisions of this Scheme, is hereby authorized or be deemed to be authorized to execute all and any writings on behalf of the Demerged Company, to implement and carry out all formalities and compliances in relation to the above mentioned clause(s), if required.

5.4. Any question as to whether a specified asset, liability, employee, legal or other proceeding pertains or does not pertain to the Demerged Undertaking or whether it arises out of the activities or operations of the Demerged Undertaking, shall be finally and conclusively decided by the Board of Directors of the Demerged Company and the Resulting Company and any such decision will be binding on all concerned persons.

6. CONTRACTS, DEEDS AND OTHER INSTRUMENTS

6.1. Upon the coming into effect of this Scheme and subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements including leave and license agreements, development agreements, redevelopment agreements, powers of attorney, instruments, licenses, engagements, certificates, permissions, consents, approvals, concessions and incentives (minimum alternative tax, sales tax, excise duty, custom duty, service tax, value added tax, goods and services tax, tax deducted at source, tax collected at source and other incentives), remissions, remedies, subsidies, guarantees and other instruments, if any, of whatsoever nature to which the Demerged Company, in respect of the Demerged Undertaking, are a party or to the benefit of which the

Demerged Company, in respect of the Demerged Undertaking, may be eligible and which have not lapsed and are subsisting or having effect on the Effective Date shall be in full force and effect against or in favor of the Resulting Company, as the case may be, and may be enforced by or against the Resulting Company as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary thereto.

6.2. For the avoidance of doubt and without prejudice to the generality of the foregoing, it is clarified that upon the Scheme becoming effective, all consents, approvals, concessions, permissions, licenses, certificates, clearances, authorities, power of attorney given by, issued to or executed in favour of the Demerged Company, in respect of the Demerged Undertaking shall stand transferred to the Resulting Company, as if the same were originally given by, issued to or executed in favour of the Resulting Company and the Resulting Company shall be bound by the terms thereof, the obligations and duties there under, and the rights and benefits under the same shall be available to the Resulting Company. The Resulting Company shall make applications and do all such acts or things which may be necessary to obtain relevant approvals from the concerned governmental or other authorities as may be necessary in this behalf.

6.3. Upon the coming into effect of this Scheme and subject to the other provisions of this Scheme, the Resulting Company may enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or novations, to which the Demerged Company will, if necessary, also be party in order to give formal effect to the provisions of this Scheme, if so required or if so considered necessary. The Resulting Company shall be deemed to be authorized to execute any such deeds, writings or confirmations on behalf of the Demerged Company, in respect of the Demerged Undertaking, and to implement or carry out all formalities required on the part of the Demerged Company to give effect to the provisions of this Scheme.

6.4. The Resulting Company shall be entitled, pending the sanction of the Scheme, to apply to the Central Government, State Government or any other agency, department or other authorities concerned as may be necessary under law, for such consents, approvals and sanctions which the Resulting Company may require to own and operate the Demerged Undertaking.

6.5. The above shall not affect any transaction or proceedings or contracts or deeds already concluded by the Demerged Company on or before the Appointed Date and after the Appointed Date till the Effective Date. The Resulting Company accepts and adopts all acts, deeds and things done and executed by the Demerged Company in respect thereto as done and executed on behalf of itself.

7. EMPLOYEES AND STAFF

7.1. On the Scheme coming into effect, all staff, workmen and employees (if any, including those on sabbatical / maternity leave) of the Demerged Company, in respect of the Demerged Undertaking, in service on the

Effective Date shall stand transferred and vested and / or be deemed to have become staff, workmen and employees of the Resulting Company with effect from the Effective Date without any break or interruption in their service and on the terms and conditions not less favorable than those applicable to them with reference to the Demerged Company on the Effective Date. The position, rank and designation of the employees would however be decided by the Resulting Company.

7.2. It is expressly provided that, in so far as the gratuity fund, provident fund and super annuation fund (hereinafter referred as "Fund or Funds") created or existing for the benefit of the staff, workmen and employees of the Demerged Company, in respect of the Demerged Undertaking, is concerned, upon the Scheme coming into effect, the Demerged Company shall be substituted by the Resulting Company for all purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Fund or Funds, if any, to the end and intent that all rights, duties, powers and obligations of the Demerged Company in relation to such Fund or Funds shall become those of the Resulting Company and all the rights, duties and benefits of the staff, workmen and employees of the Demerged Company under such Fund or Funds shall be protected, subject to the provisions of law for the time being in force. It is clarified that the services of the staff, workmen and employees of the Demerged Company, in respect of the Demerged Undertaking, will be treated as having been continuous for the purpose of the Fund or Funds and for other benefits such as long service awards.

7.3. In so far as the Fund or Funds created or existing for the benefit of the employees of the Demerged Company, in respect of the Demerged Undertaking, is concerned, upon the coming into effect of this Scheme, balances lying in the accounts of such employees of the Demerged Company in the Fund or Funds as on the Effective Date shall stand transferred from the respective Fund or Funds of the Demerged Company to the corresponding Fund or Funds set up by the Resulting Company.

8. LEGAL PROCEEDINGS

8.1. Upon the Scheme becoming effective, all legal and other proceedings including before any statutory or quasi-judicial authority or tribunal of whatsoever nature by or against the Demerged Company, in respect of the Demerged Undertaking, pending and/or arising at the Appointed Date shall be continued and/or enforced by or against the Resulting Company only, to the exclusion of the Demerged Company in the same manner and to the same extent as would have been continued and enforced by or against the Demerged Company.

8.2. Further, the aforementioned proceedings shall not abate or be discontinued nor in any way be prejudicially affected by reason of demerger of the Demerged Undertaking into the Resulting Company or anything contained in the Scheme.

8.3. The Resulting Company undertakes to have all legal or other proceedings initiated by or against the Demerged Company, in respect of the Demerged Undertaking referred to in sub clause 8.1 above, transferred into its name and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company, in respect of the Demerged Undertaking.

8.4. On and from the Effective Date, the Resulting Company shall and may, if required, initiate any legal proceedings in relation to the Demerged Company, in respect of the Demerged Undertaking, in the same manner and to the same extent as would or might have been initiated by the Demerged Company.

9. CONSIDERATION

(i) Upon the Scheme coming into effect and in consideration of the transfer and vesting of the Demerged Undertaking from the Demerged Company into the Resulting Company in terms of this Scheme, the Board of Directors of the Resulting Company shall, without any further act or deed, issue and allot Non-Cumulative Redeemable Preference Shares to the shareholders, administrators, legal representatives of the Demerged Company whose names are recorded in the register of members of the Demerged Company on the Record Date, in the following manner:

Share Exchange Ratio:

1 (One)Non-Cumulative Redeemable Preference Shares of INR 10/- (Rupees ten only) each, of the Resulting Company shall be issued and allotted for every 100 (One Hundred) equity shares of INR 10/- (Rupees Ten only) each, held by the equity shareholders in the Demerged Company, as per the report obtained from the registered valuers.

(hereinafter referred to as **'New Shares')**

The ratio in which New Shares of the Resulting Company are to be issued and allotted to the equity shareholders of the Demerged Company is referred to as the **"Share Entitlement Ratio".** It is clarified that no cash consideration shall be paid by the Resulting Company to the Demerged Company or its shareholders.

9.1. Upon this Scheme becoming effective, the issue and allotment of New Shares by the Resulting Company to the equity shareholders of the Demerged Company as provided in this Scheme is an integral part hereof and shall be deemed to have been carried out under the orders passed by the Tribunal without requiring any further act on the part of the Resulting Company or the Demerged Company and such other Applicable Law as may be applicable, were duly complied with. It is clarified that approval of the shareholders of the Resulting Company to this Scheme, shall be deemed to be their consent/approval for the issue and allotment of the New Shares of and by the Resulting Company.

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Kalpataru Limited

9.2. In case the shareholders' shareholding in the Demerged Company is such that the shareholder becomes entitled, pursuant to Clause 9.1 above, to a fraction of New Shares of the Resulting Company, the Resulting Company shall round off the said entitlement to the nearest integer and allot New Shares accordingly.

9.3. The Resulting Company shall take necessary steps to increase or alter or reclassify, if necessary, its authorized share capital suitably to enable it to issue and allot the shares required to be issued and allotted by it under Clause 9.1 above and shall be deemed to be made in compliance with the procedure laid down under the Act. The consent of the shareholders to the Scheme shall be deemed to be sufficient for effecting any alteration to the authorised share capital and no further resolutions under any applicable provisions of the Act would be required to be separately passed.

9.4. The Resulting Company, shall, if and to the extent required, apply for and obtain any approvals from the concerned authorities for the issue and allotment of the New Shares, under the Scheme.

9.5. Notwithstanding anything contained in the Scheme and subject to Applicable Law, until the Scheme becomes effective (on or before the Effective Date), the Demerged Company and the Resulting Company are hereby permitted to issue shares, and, or, convertible instruments or any combination thereof including optionally convertible instruments on such terms and conditions as maybe approved by the respective Board of Directors of the Demerged Company and the Resulting Company (as the case may be) for the efficient functioning of the business of the relevant Company or for any other purpose including for purposes of refinancing, repayment, conversion or prepayment of any loans of the relevant Company, and do all such acts, deed and things as may be necessary to effect the foregoing including but not limited to increase, reclassify and/or restructure its authorized share capital in such manner and by such amount as may be necessary.

9.6. In the event of any increase in the issued, subscribed or paid up share capital of the Demerged Company or the Resulting Company or issuance of any instruments convertible into equity shares or restructuring of its equity share capital by way of share split/consolidation/issue of bonus shares, free distribution of shares or instruments convertible into equity shares or other similar action in relation to the share capital of the Demerged Company or the Resulting Company at any time as of the Record Date, then there shall be an appropriate adjustment to the Share Exchange Ratio arrived at in Clause 9.1 to take into account the effect of such issuance or corporate action assuming conversion of any such issued instruments into equity shares and the same shall be approved by the Boards of both the Demerged Company and the Resulting Company.

9.7. The approval of this Scheme by the shareholders of the Resulting Company shall be deemed to be in due compliance of the provisions of Section 42, 55, 62 and all the other relevant and applicable provisions of the Act for the issue and allotment of New Shares by the Resulting Company to the shareholders of the Demerged Company, as provided in this Scheme.

10. ACCOUNTING TREATMENT

The demerger of the Demerged Undertaking from the Demerged Company into the Resulting Company shall be accounted for in the books of account of the Resulting Company in accordance with 'Appendix C - Business combination of entities under common control of the Indian Accounting Standard (Ind AS) 103 (Business Combination) as prescribed under Section 133 of the Act which is applicable to the Resulting Company since this is a common control business combination.

IN THE BOOKS OF THE DEMERGED COMPANY

10.1. Upon the Scheme becoming effective, the Demerged Company shall reduce the book value of all the assets and liabilities relating or pertaining to the Demerged Undertaking from its books as on the Appointed Date.

10.2. Any inter-company balance(s) and inter-company investments, debts, borrowings (secured or unsecured), if any, between the Demerged Company and the Resulting Company relating or pertaining to the Demerged Undertaking shall stand cancelled and corresponding effect shall be given in the books of account and the records of the Demerged Company for the reduction of any assets or liabilities, as the case may be. There would be no accrual of interest or other charges and there shall be no obligation/outstanding in that behalf in respect of any such intercompany loans, debt, securities or balances with effect from the Appointed Date.

10.3. The excess / deficit of assets over liabilities transferred pursuant to Clauses 10.1 and 10.2 above shall be adjusted against reserves.

10.4. In case of any difference in any of the accounting policies between the Demerged Company and the Resulting Company, the impact of the same relating or pertaining to the Demerged Undertaking will be quantified and adjusted in the Profit and Loss account of the Resulting Company, in accordance with the applicable Accounting Standards framework, to ensure that the financial statement of the Resulting Company reflects the financial position on the basis of consistent accounting policies.

IN THE BOOKS OF THE RESULTING COMPANY

10.5. The assets, liabilities and reserves pertaining to the Demerged Undertaking of the Demerged Company shall be reflected at their respective carrying amounts in the books of account of the Resulting Company.

10.6. Any inter-company balance(s) and inter-company investments, debts, borrowings (secured or unsecured), if any, between the Demerged Company and the Resulting Company relating or pertaining to the Demerged Undertaking shall stand cancelled and corresponding effect shall be given in the books of account and the records of the Resulting Company for the reduction of any assets or liabilities, as the case may be. There would be no accrual of interest or other charges and there shall be no obligation/outstanding in that behalf in respect of any such intercompany loans, debt, securities or balances with effect from the Appointed Date.

10.7. The consideration issued to the shareholders of the Demerged Company in terms of Clause 9.1 above shall be recorded at face value of such shares.

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Kalpataru Limited

10.8. The excess / deficit of assets over liabilities recorded in the books of the Resulting Company as per Clause 10.5 and 10.6 above as reduced by the face value of New Shares issued by it in terms of Clause 9.1 above shall be recorded as Capital Reserve.

11. INTER-SE TRANSACTIONS

11.1. With effect from the Appointed Date, all inter-party transactions between the Demerged Company (in relation to the Demerged Undertaking) and Resulting Company shall be considered as intra-party transactions for all purposes from the Appointed Date and on the coming into effect of this Scheme, the same shall stand cancelled without any further act, instrument or deed above clause has no impact.

11.2. Further, it is clarified that the above clause has no impact whatsoever on any taxes in the form of income-tax, goods and service tax, service tax, works contract tax, value added tax etc. paid on account of such transactions. The taxes paid shall be deemed to have been paid by or on behalf of the Resulting Company, as the case may be, and on its own account and therefore, the Resulting Company, as the case may be, will be eligible to claim the credit / refund of the same and is also entitled to revise returns, as may be necessary, to give effect to the same.

12. COMPLIANCE WITH TAX LAWS

12.1. This Scheme has been drawn up to comply with the conditions as specified under Section 2(35) of the IT Act and other relevant provisions of the IT Act involving demerger as aforesaid. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section of the IT Act shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(35) of the IT Act and other relevant provisions of the IT Act.

12.2. Upon this Scheme becoming effective, the Demerged Company and Resulting Company are expressly permitted to revise their financial statements and returns along with prescribed forms, filings and annexure under the IT Act, (including for the purpose of re-computing tax on book profits and claiming other tax benefits), service tax law, goods and services tax law and other tax laws, and to claim refunds and/or credits for taxes paid, and to claim tax benefits, etc., and for matters incidental thereto, if required to give effect to the provisions of the Scheme with effect from the Appointed Date. Such returns may be revised and filed notwithstanding that the statutory period for such revision and filing may have lapsed.

12.3. All tax assessment proceedings/ appeals of whatsoever nature by or against the Demerged Company, in respect of the Demerged Undertaking, pending and/or arising at the Appointed Date and relating to the Demerged

Company shall be continued and/or enforced until the Effective Date as desired by the Resulting Company. As and from the Effective Date, the tax proceedings, in respect of the Demerged Undertaking, shall be continued and enforced by or against the Resulting Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company.

Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the demerger of the Demerged Undertaking with the Resulting Company or anything contained in the Scheme.

12.4. Any tax liabilities under the IT Act, Customs Act 1962, Service Tax laws, Goods and Services Tax Laws and other applicable State Value Added Tax laws or other Applicable Laws / regulations dealing with taxes / duties / levies allocable or related to the Demerged Company, in respect of the Demerged Undertaking, to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date shall be transferred to the Resulting Company. Any surplus in the provision for taxation / duties / levies account including advance tax and tax deducted at source, tax collected at source as on the date immediately preceding the Appointed Date will also be transferred to the account of the Resulting Company.

12.5. Any refunds, credits, claims under the IT Act, Customs Act 1962, Service Tax laws, Goods and Services Tax Laws and other applicable State Value Added Tax laws or other Applicable Laws/ regulations dealing with taxes/ duties/ levies allocable or related to the Demerged Company and due to the Demerged Company, in respect of the Demerged Undertaking, consequent to the assessment made on the Demerged Company for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Resulting Company.

12.6. All taxes/ credits including income-tax, tax on book profits, credit on Minimum Alternate Tax under section 206 of the IT Act, sales tax, excise duty, custom duty, service tax, value added tax, goods and services tax or any other direct or indirect taxes as may be applicable, etc. paid or payable by the Demerged Company, in respect of the Demerged Undertaking, in respect of the operations and/ or the profits of the Demerged Undertaking before the Appointed Date, shall be on account of the Demerged Company, as the case maybe and, in so far as it relates to the tax payment (including, without limitation, income-tax, tax on book profits, sales tax, excise duty, custom duty, service tax, value added tax, goods and services tax etc.) whether by way of deduction at source, tax collected at source, advance tax, MAT credit or otherwise howsoever, by the Demerged Company in respect of the profits or activities or operation of the business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Resulting Company, as the case maybe and shall, in all proceedings, be dealt with accordingly. Further, any tax deducted at source by the Demerged Company/ Resulting Company in respect of the Demerged Undertaking on payables to the Resulting Company/ the Demerged Company respectively which has been deemed not to be accrued, shall be deemed to be advance taxes paid by the Resulting Company and shall, in all proceedings, be dealt with accordingly.

12.7. Obligation for deduction of tax at source on any payment made by or to be made by the Demerged Company, in respect of the Demerged Undertaking, under the IT Act, service tax laws, customs law, state value added tax, Goods and Services tax laws or other Applicable Laws / regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Resulting Company, as the case maybe.

12.8. Without prejudice to the generality of the above, all benefits, incentives, losses, credits (including, without limitation income tax, tax on book profits, service tax, applicable state value added tax, goods and services tax etc.) to which the Demerged Company, in respect of Demerged Undertaking, are entitled to in terms of Applicable Laws, shall be available to and vest in the Resulting Company.

12.9. All the expenses incurred by the Demerged Company or Resulting Company in relation to this Scheme, including stamp duty expenses, if any, shall be allowed as deduction to the Demerged Company or Resulting Company, respectively, in accordance with Section 52 of the IT Act over a period of 5 years beginning with the previous year in which this Scheme becomes effective.

13. CONDUCT OF BUSINESS TILL EFFECTIVE DATE

13.1. With effect from the Appointed Date and up to and including the Effective Date, the Demerged Company shall carry on and be deemed to have carried on their business and activities relating to the Demerged Undertaking and shall be deemed to have held and stood possessed of and shall hold and stand possessed of their business relating to the Demerged Undertaking for and on account of and in trust for the Resulting Company:

13.1.1. Carry on the business of the Demerged Undertaking maybe in either name as the circumstances may be, for those unfinished or incomplete business, contracts, transactions which may be necessary to be transacted and completed;

13.1.2. All the profits or income accruing or arising to the Demerged Company or expenditure or losses incurred by the to the Demerged Company relating to the Demerged Undertaking shall for all purposes be treated and deemed to be the profits or income or expenditure or losses (as the case may be) of the Resulting Company;

13.1.3. The Demerged Company shall carry on business and activities relating to the Demerged Undertaking with reasonable diligence and business prudence and shall not venture into/expand any new businesses, alienate, charge, mortgage, encumber or otherwise deal with the assets or any part thereof relating to the Demerged Undertaking except in the ordinary course of business without the prior consent of the Resulting Company;

13.1.4. Any of the rights, powers, authorities or privileges attached, related or forming part of the Demerged Undertaking, exercised by Demerged Company shall be deemed to have been exercised by the Demerged Company for and on behalf of, and in trust for and as an agent of Resulting Company. Similarly, any of the obligations, duties and commitments attached, related or pertaining to the

Demerged Undertaking Demerged Company shall be deemed to have been undertaken/ discharged for and on behalf of Resulting Company.

13.1.5. The Resulting Company shall be entitled, pending the sanction of the Scheme, to apply to the Central Government and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Demerged Company may require to carry on the business relating to the Demerged Undertaking.

13.2. For the avoidance of doubt and without prejudice to the generality of the applicable provisions of the Scheme, it is clarified as follow:

13.2.1. With effect from the Effective Date and till such time that the name of the bank accounts of the Demerged Company (relating to the Demerged Undertaking, if any, has been replaced with that of the Resulting Company, the Resulting Company shall be entitled to operate the bank accounts of the Demerged Company (relating to the Demerged Undertaking) in the name/ under the instructions of the Resulting Company, in so far as may be necessary. All cheques and negotiable instruments, payment orders received or presented for encashment which are in the name of the Demerged Company (relating to the Demerged Undertaking) after the Effective Date shall be accepted by the bankers of the Resulting Company and credited to the account of the Resulting Company if presented by the Resulting Company. Similarly, till the time any regulatory registrations of the Demerged Company (relating to the Demerged Undertaking) are closed / suspended and regulatory filings are required to be done on such registrations, the Resulting Company shall be entitled to do so to comply with the relevant regulations.

13.2.2. With effect from the Effective Date, the Resulting Company shall be entitled to use all stationery, letterheads, business forms, invoices, delivery challans, contract formats, quotation formats, signage, display boards, hoardings, decals, stickers affixed, safety markings, identification plates, asset branding material, promotional and marketing material, and other publicity material, etc. lying unused with the Demerged Company (relating to the Demerged Undertaking) or their vendors, suppliers or third party or in their supply chain or distribution channel and which the Demerged Company are entitled to use under any statutes/ regulations, till such time as all of such items are exhausted, till such time they are replaced, removed or rendered unusable in the ordinary course of business, without making any amendment on those items.

13.2.3. With a view to avoid any disruption of business and to ensure continuity of operations, with effect from the Effective Date and till such time all critical licenses, product registrations, marketing authorizations, permits, quotas, approvals, incentives, subsidies, etc. of Demerged Company (relating to the Demerged Undertaking) is transferred, recorded, effected and/or perfected, in the

record of the relevant governmental / regulatory authorities in all applicable jurisdictions in favour of Resulting Company, the Resulting Company shall carry on and be deemed to have been carrying on all the business and activities of the Demerged Undertaking in the name and style of the Demerged Undertaking as carried on by the Demerged Company and under the relevant licenses, product registrations, marketing authorizations, permits, quotas, approvals, incentives, subsidies, etc. of the Demerged Company. Further, during such period, Resulting Company can procure or use, all material and product, in the name and form/format of the Demerged Company.

14. REMAINING BUSINESS OF THE DEMERGED COMPANY

14.1. The Remaining Business of the Demerged Company and all other assets, liabilities, incentives, rights and obligations pertaining thereto shall continue to be vested in and managed by the Demerged Company in the manner as provided below.

14.2. All legal and other proceedings including any insurance claims by or against the Demerged Company under any statute, whether pending on the Appointed Date or which may be instituted in future, whether or not in respect of any matter arising before the Effective Date and relating to the Remaining Business of the Demerged Company (including those relating to any property, right, power, liability, obligation or duty, of the Demerged Company in respect of the Remaining Business of the Demerged Company) shall be continued and enforced by or against the Demerged Company.

14.3. With effect from the Appointed Date upto Effective Date:

14.3.1. The Demerged Company shall continue and / or may be deemed to have been carrying on and to be carrying on all businesses and activities relating to the Remaining Business of the Demerged Company for and on its own behalf;

14.3.2. The Demerged Company may enter into such contracts as the Demerged Company may deem necessary in respect of the Remaining Business;

14.3.3. All profits accruing to the Demerged Company thereon or losses arising or incurred by it relating to the Remaining Business of the Demerged Company shall, for all purposes, be treated as the profits, or losses, as the case may be, of the Demerged Company;

14.3.4. All assets and properties acquired by the Demerged Company in relation to the Remaining Business on and after the Appointed Date shall belong to and continue to remain vested in the Demerged Company; and

14.3.5. All liabilities (including contingent liabilities) loans, debts (whether secured or unsecured) raised or incurred, duties and obligations of every kind, nature and description whatsoever and howsoever arising or accruing in relation to the Remaining Business shall belong to and continue to remain vested in the Demerged Company. Notwithstanding sanction of the Scheme, all the mortgages/

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Kalpataru Limited

charges/ securities/ security interests created over the Remaining Business in favour of the lender/s for the liabilities, loan, debts availed shall continue to remain in full force and effect post sanction of the Scheme till such time the entire liability is discharged in full.

PART C

AMALGAMATION OF TRANSFEROR COMPANIES WITH THE TRANSFEREE COMPANY

15. TRANSFER AND VESTING OF ASSETS AND LIABILITIES OF TRANSFEROR COMPANIES WITH THE TRANSFEREE COMPANY

15.1. With effect from the Appointed Date and upon the Scheme becoming effective, the Transferor Companies along with whole business shall in terms of Section 230 to 232 and other applicable provisions, if any, of the Act, and pursuant to the orders of the NCLT, sanctioning the Scheme shall without any further act, deed, matter or thing, stand transferred to and vested in and/or deemed to be transferred to and vested in the Transferee Company so as to become the properties and liabilities of the Transferee Company in accordance with the provisions of Section 2(6) of the Income-tax Act, 1961.

15.2. With effect from the Appointed Date and upon the Scheme becoming effective, the whole of the businesses of the Transferor Companies, as a going concern, including all secured and unsecured debts, liabilities, deposits, duties and obligations and all the assets, properties (including but not limited to projects, land, buildings, parking structures/space) rights, titles and benefits, whether movable or immovable, real or personal, in possession or reversion, corporeal or incorporeal, tangible or intangible, present or contingent, all fixed and movable plant and machinery, STP systems, elevators, escalators, HVAC systems, chillers, DG sets, transformers, pumps, vehicles, fixed assets, capital work in progress, work in progress, inventories, stock in trade, current assets, investments, reserves, provisions, funds, floor space index (FSI), additional FSI, Fungible FSI, premium FSI, ancillary FSI, development rights, Transferrable Development Rights (TDR), licenses, statutory licenses, quotas, incentives, NOCs, registrations, copyrights, patents, trademarks and other rights and licenses in respect thereof, applications for copyrights, patents, trademarks, leases, licenses, tenancy rights, joint venture agreements, computers, office equipment, telephones, telexes, facsimile connections, communication facilities, equipment and installations and utilities, electricity, water and other service connections, furniture, fixtures and fittings, electrical fittings, fixed deposits, earnest money, mutual funds, bonds and any other securities, sundry debtors, outstanding loans and advances, if any, recoverable in cash or kind or for value to be received, bank balances, and deposits, if any, with Government, Semi-Government, local and other authorities and bodies, customers and other persons, benefits of agreements, contracts and arrangements, powers, authorities, permits, allotments, approvals including RERA/MAHARERA approvals, consents, privileges, liberties, advantages, easements and all rights, title, interest, goodwill, benefit and advantage, deposits, reserves, provisions, advances, receivables, funds, cash, bank balances, accounts and all other rights, benefits of all agreements, subsidies, grants, tax credits [including but not limited to benefits of tax relief such as credit for advance tax, minimum alternate tax, taxes deducted or collected at source, benefits of any unutilized service tax credits, value added tax credits, benefits under the Sales Tax Act, sales tax set-off,

benefits of any unutilized MODVAT/CENVAT/Service tax credits, unutilized input tax credit of central goods and services tax ('CGST'), integrated goods and services tax ('IGST'), applicable state goods and services tax ('SGST'), goods and services tax compensation cess ('GST Compensation Cess'), software license, domain / website etc., all files, papers, records, whether in physical, electronic form in connection / relating to the Transferor Companies and other claims and powers, of whatsoever nature and wheresoever situated belonging to or in the possession of or granted in favour of or enjoyed by the Transferor Companies, whether in India or abroad as on the Appointed Date, shall, under the provisions of sections 230 to 232 of the Act and all other applicable provisions, if any, of the Act, and without any further act or deed, be transferred to and vested in and / or be deemed to be transferred to and vested in the Transferee Company as a going concern so as to become from the Appointed Date the undertaking of the Transferee Company and to vest in the Transferee Company all the rights, title, interest or obligations of the Transferor Companies therein.

15.3. With effect from the Appointed Date and upon the Scheme becoming effective, all immovable properties pertaining to the Transferor Companies, whether freehold or leasehold and any documents of title, rights and easements in relation thereto, shall stand transferred and vested in the Transferee Company, and shall become the property and an integral part of the Transferee Company without any further act, instrument or deed and without any approval or acknowledgement of any third party. Upon the Scheme coming into effect, the Transferee Company shall be entitled to exercise all rights and privileges and be liable to pay all taxes and charges, and fulfil all obligations, in relation to or applicable to such immovable properties. The mutation of the ownership or title, or interest in the immovable properties (whether freehold or leasehold) comprised in the Transferor Companies, in favor of the Transferee Company shall be made and duly recorded by the appropriate authorities pursuant to the sanction of this Scheme and it becoming effective in accordance with the terms thereof. The Transferor Companies shall take all steps as may be necessary to ensure that lawful and peaceful possession, right, title, interest of such immovable property is given to the Transferee Company in accordance with the terms hereof;

15.4. All the assets and properties which are acquired by the Transferor Companies, on or after the Appointed Date but prior to the Effective Date shall be deemed to be and shall become the assets and properties of the Transferee Company and shall under the provisions of Sections 230 to 232 and all other applicable provisions if any, of the Act, without any further act, instrument or deed, be deemed to have been transferred to and vested in the Transferee Company upon the coming into effect of this Scheme pursuant to the provisions of Sections 230 to 232 of the Act. The Transferee Company may give notice, although it is not obliged, in such form as it may deem fit and proper to each party, debtors or depositors, as the case may be, that pursuant to order of the NCLT sanctioning the Scheme, that the said debts, loans, advances, etc. be paid or made good or held on account of

Transferee Company as the person entitled thereto to the end and intent that the right of the Transferor Companies to recover or realize the same stands extinguished.

15.5. With effect from the Appointed Date and upon the Scheme becoming effective, all respective debts, liabilities (including contingent liabilities), duties and obligations of every kind, nature and description of the Transferor Companies, shall be deemed to have been transferred to the Transferee Company, and to the extent they are outstanding on the Effective Date shall, without any further act, deed, matter or thing be and stand transferred to the Transferee Company and shall become the liabilities and obligations of the Transferee Company which undertakes to meet, discharge and satisfy the same and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such debts, liabilities and obligations have arisen in order to give effect to the provisions of this Clause.

15.6. Where any of the respective debt, liabilities (including contingent liabilities), duties and obligations of every kind, nature and description of the Transferor Companies as on the Appointed Date, deemed to be transferred to the Transferee Company have been discharged by the Transferor Companies, after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to have been for and on account of the Transferee Company, and all loans raised and used and all liabilities and obligations incurred by the Transferor Companies after the Appointed Date and prior to the Effective Date shall be deemed to have been raised, used or incurred for and on behalf of the Transferee Company which undertakes to meet, discharge and satisfy the same and it shall not be necessary to obtain the consent of third party or other person who is a party to any contract or arrangement by virtue of which the loans and liabilities have arisen in order to give effect to the provisions of this Clause.

15.7. Loans, advances and other obligations, if any, due or which may at any time in future become due between the Transferor Companies inter-se and /or between the Transferor Companies and Transferee Company shall stand cancelled and there shall be no liability in that behalf on either party.

15.8. The transfer and vesting of the business of the Transferor Companies, as aforesaid, shall be subject to the existing securities, charges, mortgages and other Encumbrances, if any, subsisting over or in respect of the property and assets or any part thereof to the extent such securities, charges, mortgages, Encumbrances are created to secure the liabilities forming part of the Transferor Companies or any other third party which has availed any loans against the security provided by the Transferor Companies, if any. Provided always that this Scheme shall not operate to enlarge the scope of security for any loan, deposit or facility availed of by the

Transferor Companies and the Transferee Company shall not be obliged to create or provide any further or additional security therefore after the Effective Date or otherwise.

15.9. Without prejudice to the provisions of the foregoing clauses and upon the effectiveness of this Scheme, the Transferor Companies and the Transferee Company shall execute all such instruments or documents or do all the acts and deeds as may be required, including the filing of necessary particulars and / or modification(s) of charge, with the Registrar of Companies to give formal effect to the above provisions, if required.

15.10. Upon the Scheme being sanctioned and taking effect, the Transferee Company shall be entitled to operate all Banks Accounts, including fixed deposit accounts, related to the Transferor Companies and all cheques, drafts, pay orders, direct and indirect tax balances and/or payment advices of any kind or description issued in favour of the Transferor Companies, either before or after the Appointed Date, or in future, may be deposited with the Bank of the Transferee Company and credit of all receipts there-under will be given in the accounts of the Transferee Company.

15.11. All cheques and other negotiable instruments, payment order, electronic fund transfers (like NEFT, RTGS, etc.) received or presented for encashment which are in the name of the Transferor Companies after the Effective Date shall be accepted by the bankers of the Transferee Company and credited to the account of the Transferee Company, if presented by the Transferee Company or received through electronic transfers. Similarly, the banker of the Transferee Company shall honor all cheques / electronic fund transfer instructions issued by the Transferor Companies for payment after the Effective Date. If required, the bankers of the Transferor Companies shall allow maintaining and operating of the bank accounts (including banking transactions carried out electronically) in the name of the Transferor Companies by the Transferee Company for such time as may be determined to be necessary by the Transferee Company for presentation and depositing of cheques, pay order and electronic transfers that have been issued/made in the name of the Transferor Companies.

15.12. Without prejudice to the generality of the forgoing, it is clarified that upon the coming into effect of this Scheme, all permits, authorizations, licenses, consents, registrations, approvals, environment clearances, municipal permissions, industrial licenses, privileges, easements and advantages, facilities, rights, powers and interest (whether vested or contingent), shall stand transferred to and vested in or shall be deemed to be transferred to and vested in the Transferee Company as if the same were originally given or issued to or executed in favor of the Transferee Company, and the rights and benefits under the same shall be available to the Transferee Company.

15.13.

16. ENCUMBRANCES

16.1. The transfer and vesting of the assets comprised in the business of the Transferor Companies to and in the Transferee Company under Clause 16 of this Scheme shall be subject to the mortgages and charges, if any, affecting the same, as and to the extent hereinafter provided.

16.2. All the existing securities, mortgages, charges, Encumbrances or liens, if any, as on the Appointed Date and created by the Transferor Companies after the Appointed Date, over the assets comprised in the business of the Transferor Companies or any part thereof transferred to the Transferee Company by virtue of this Scheme and in so far as such Encumbrances secure or relate to liabilities of the Transferor Companies, the same shall, after the Effective Date, continue to relate and attach to such assets or any part thereof to which they are related or attached prior to the Effective Date and as are transferred to the Transferee Company, and such Encumbrances shall not relate or attach to any of the other assets of the Transferee Company.

16.3. The existing Encumbrances over the assets and properties of the Transferee Company or any part thereof which relate to the liabilities and obligations of the Transferee Company prior to the Effective Date shall continue to relate only to such assets and properties and shall not extend or attach to any of the assets and properties of the Transferor Companies transferred to and vested in the Transferee Company by virtue of this Scheme.

16.4. It is expressly provided that, no other term or condition of the liabilities transferred to the Transferee Company is modified by virtue of this Scheme except to the extent that such amendment is required statutorily or to the extent guarantees are replaced or otherwise by necessary implication.

16.5. The provisions of this Clause shall operate in accordance with the terms of the Scheme, notwithstanding anything to the contrary contained in any instrument, deed or writing or the terms of sanction or issue or any security document; all of which instruments, deeds or writings shall be deemed to stand modified and/or superseded by the foregoing provisions.

17. CONTRACTS, DEEDS, ETC.

17.1. Upon coming into effect of this Scheme and subject to the provisions of this Scheme, all contracts, including contracts for tenancies and licenses, deeds, bonds, agreements including development agreements, incentives, benefits, exemptions, entitlements, arrangements, escrow arrangements and other instruments of whatsoever nature in relation to the Transferor Companies to which the Transferor Companies are a party or to the benefit of which the Transferor Companies may be eligible and which are subsisting or having effect immediately before the Effective Date, shall be in full force and effect on or against or in favour, as the case may be, of the Transferee Company and may be enforced as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obligee thereto.

17.2. The Transferee Company may, at any time after coming into effect of this Scheme in accordance with the provisions hereof, if so required, under any law or otherwise, execute deeds, confirmations or other writings,

confirmations or novations or tripartite arrangements with any party to any contract or arrangement to which the Transferor Companies are a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions.

17.3. On the Scheme becoming effective, such contracts / escrow arrangements / deeds / any other arrangements shall stand transferred to or deemed to be transferred to the Transferee Company without any further act or instrument or deed and further it shall not be necessary to obtain the consent of any third party or other person who is party to any such contract / escrow arrangements / deeds / any other arrangement.

18. STAFF, WORKMEN AND EMPLOYEES

18.1. On the coming into effect of this Scheme, all staff, workmen and employees, if any, of the Transferor Companies who are in employment of the Transferor Companies, as on the Effective Date, shall become the staff, workmen and employees of the Transferee Company with effect from the Effective Date without any break or interruption in service and on terms and conditions no less favourable than those on which they were engaged by the Transferor Companies immediately preceding the Effective Date. The Transferee Company undertakes to continue to abide by any agreement / settlement, if any, entered into by any of the Transferor Companies with any union / employee.

18.2. It is expressly provided that, on the Scheme becoming effective, the Provident Fund, Gratuity Fund, Superannuation Fund or any other Special Fund or Trusts created or existing for the benefit of the employees of the Transferor Companies shall become funds / trusts of the Transferee Company for all purposes whatsoever in relation to the administration or operation of such funds / trusts in relation to the obligation to make contributions to the said funds / trusts in accordance with the provisions thereof as per the terms provided in the respective trust deeds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Companies in relation to such funds / trusts shall become those of the Transferee Company. It is clarified that the services of the staff, workmen and employees of the Transferor Companies will be treated as having been continuous for the purpose of the said funds / trusts and for computing any other staff, workmen and employee benefits.

19. LEGAL PROCEEDINGS

19.1. If any suit, appeal or other legal proceedings of whatsoever nature by or against the Transferor Companies are pending and/or arising at/after the Appointed Date, the same shall not abate or be discontinued or in any way be prejudicially affected by reason of the amalgamation of the Transferor Companies with the Transferee Company and by anything contained in this Scheme, but the said suit, appeal or other legal proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the

same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Companies as if this Scheme had not been made.

19.2. The Transferee Company undertakes to have all legal or other proceedings initiated by or against the Transferor Companies referred to in Sub Clause 19.1 above, transferred into its name and to have the same continued, prosecuted and enforced by or against the Transferee Company to the exclusion of the Transferor Companies.

19.3. All tax assessment proceedings/appeals of whatsoever nature by or against the Transferor Companies pending and/or arising at/after the Appointed Date and relating to the Transferor Companies shall be continued and/or enforced until the Effective Date by the Transferor Companies. In the event of the Transferor Companies failing to continue or enforce any proceeding/appeal, the same may be continued or enforced by the Transferee Company, at the cost of the Transferee Company. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Companies.

19.4. On and from the Effective Date, the Transferee Company may, if required initiate any legal proceedings in relation to the present and past business of the Transferor Companies in respect of third parties.

20. CONSIDERATION

20.1. Since the Transferor Company 1, is a wholly owned subsidiary of the Transferee Company and Transferor Company 2, Transferor Company 3, Transferor Company 4, and Transferor Company 5 are step-down wholly owned subsidiaries of the Transferee Company, accordingly, upon the Scheme becoming effective, all the equity shares, as held by the Transferee Company, wholly owned subsidiaries of the Transferee Company and its nominee(s) in the Transferor Companies shall be automatically cancelled and extinguished, without requiring any further application, act or deed. Accordingly, there will be no issue or allotment of shares of Transferee Company to the shareholders of Transferor Companies pursuant to the Scheme.

20.2. Furthermore, upon the implementation of this Scheme, any investments in the share capital of the Transferor Companies recorded in the books of the Transferee company, shall also be automatically cancelled without requiring any additional application, act, instrument or deed.

21. ACCOUNTING TREATMENT IN THE BOOKS OF TRANSFEREE COMPANY

21.1. Upon the Scheme becoming effective and with effect from the Appointed Date, the amalgamation of the Transferor Companies with the Transferee Company shall be accounted for in the books of account of the Transferee Company, as per "Pooling of Interests method" in accordance with the accounting principles as laid down in Appendix C of the Indian Accounting Standard (Ind AS) 103 "Business Combinations" notified under Section 133 of the Act read with the applicable rules issued thereunder and as amended from time to time, as under:

a) All the assets and liabilities in the books of the Transferor Companies shall stand transferred to and vested in the Transferee Company pursuant to the Scheme and shall be recorded by the Transferee Company in its books of account at their respective carrying amount on the Appointed Date.

b) The reserves available for distribution as dividend in the Transferor Companies shall remain available for distribution in the Transferee Company.

c) The identity of the reserves of the Transferor Companies shall be preserved and shall appear in the financial statements of the Transferee Company in the same form and at the same values as they appear in the financial statements of the Transferor Companies.

d) Pursuant to the amalgamation of the Transferor Companies with the Transferee Company, the investment of the Transferee Company in the Transferor Companies shall stand cancelled upon the Scheme becoming effective on the Effective Date and there shall be no further obligation in that behalf.

e) The inter-company loans, advances, deposits, balances, unpaid dividend or other obligations between the Transferor Companies and the Transferee Company, if any appearing in the books of the Transferee Company shall stand cancelled and there shall be no further obligation in that behalf.

f) The surplus/deficit, if any arising after taking the effect of clause a, b, c and d of Clause 21 above shall be transferred to Capital Reserve in the financial statements of the Transferee Company and shall be presented separately from other capital reserves with disclosure of its nature and purpose in the notes.

g) In case of any difference in accounting policy between the Transferor Companies and the Transferee Company, the accounting policies followed by the Transferee Company will prevail to ensure that the financial statements reflect the financial position based on consistent accounting policies.

22. INTER-SE TRANSACTIONS

22.1. With effect from the Appointed Date, all inter-party transactions between the Transferor Companies and Transferee Company shall be considered as intra-party transactions for all purposes, and on the coming into effect of this Scheme, the same shall stand cancelled without any further act, instrument or deed.

22.2. Further, it is clarified that the above clause has no impact whatsoever on any taxes in the form of income-tax, goods and services tax, etc. paid on account of such transactions. The taxes paid shall be deemed to have been paid by or on behalf of the Transferee Company and on its own account and therefore, the Transferee Company will be eligible to claim the credit / refund of the same and is also entitled to revise returns, as may be necessary, to give effect to the same notwithstanding that the period of filing / revising such returns / forms may have lapsed and period to claim refund / credit also elapsed upon this Scheme becoming effective.

23. COMPLIANCE WITH TAX LAWS

23.1. This Scheme has been drawn up to comply with the conditions as specified under Section 2(6) of the IT Act and other relevant provisions of the IT Act involving amalgamation as aforesaid. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section of the IT Act shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(6) of the IT Act and other relevant provisions of the IT Act.

23.2. Upon this Scheme becoming effective, the Transferor Companies and Transferee Company are expressly permitted to revise their financial statements and returns along with prescribed forms, filings and annexure under the IT Act, (including for the purpose of re-computing tax on book profits and claiming other tax benefits), service tax law, goods and services tax law and other tax laws, and to claim refunds and/or credits for taxes paid, and to claim tax benefits, etc., and for matters incidental thereto, if required to give effect to the provisions of the Scheme with effect from the Appointed Date. Such returns may be revised and filed notwithstanding that the statutory period for such revision and filing may have lapsed.

23.3. All tax assessment proceedings / appeals (including application and proceedings in relation to advance ruling) of whatsoever nature by or against the Transferor Companies, pending and / or arising at the Appointed Date shall be continued and / or enforced until the Effective Date as desired by the Transferee Company. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against the Transferee Company, as the case maybe, in the same manner and to the same extent as it would or might have been continued and enforced by or against the Transferor Companies.

Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the amalgamation of Transferor Companies into the Transferee Company or anything contained in the Scheme.

23.4. Any tax liabilities under the IT Act, Customs Act 1962, Service Tax laws, Goods and Services Tax Laws and other applicable State Value Added Tax laws or other Applicable Laws / regulations dealing with taxes / duties / levies allocable or related to the Transferor Companies, to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date shall be transferred to the Transferee Company. Any surplus in the provision for taxation / duties / levies account including advance tax and tax deducted at source, tax collected at source as on the date immediately preceding the Appointed Date will also be transferred to the account of the Transferee Company.

23.5. Any refunds, credits, claims under the IT Act, Customs Act 1962, Service Tax laws, Goods and Services Tax Laws and other applicable State Value Added Tax laws or other Applicable Laws/ regulations dealing with taxes/ duties/ levies allocable or related to the Transferor Companies and due to the Transferor Companies, consequent to the assessment made on the Transferor Companies for which no credit is taken in the accounts

as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company.

23.6. All taxes/ credits including income-tax, tax on book profits, credit on Minimum Alternate Tax under section 206 of the IT Act, sales tax, excise duty, custom duty, service tax, value added tax, goods and services tax or any other direct or indirect taxes as may be applicable, etc. paid or payable by the Transferor Companies before the Appointed Date, shall be on account of the Transferee Company, as the case maybe and, in so far as it relates to the tax payment (including, without limitation, income-tax, tax on book profits, sales tax, excise duty, custom duty, service tax, value added tax, goods and services tax etc.) whether by way of deduction at source, tax collected at source, advance tax, MAT credit or otherwise howsoever, by the Transferor Companies in respect of the profits or activities or operation of the business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company, as the case maybe and shall, in all proceedings, be dealt with accordingly. Further, any tax deducted at source by the Transferor Companies on payables to the Transferee Company which has been deemed not to be accrued, shall be deemed to be advance taxes paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly.

23.7. Obligation for deduction of tax at source on any payment made by or to be made by the Transferor Companies, under the IT Act, service tax laws, customs law, state value added tax, Goods and Services tax laws or other Applicable Laws / regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Transferee Company, as the case maybe.

23.8. Without prejudice to the generality of the above, all benefits, incentives, losses, credits (including, without limitation income tax, tax on book profits, service tax, applicable state value added tax, goods and services tax etc.) to which the Transferor Companies are entitled to in terms of Applicable Laws, shall be available to and vest in the Transferee Company, as the case maybe.

23.9. All the expenses incurred by the Transferor Companies and/or the Transferee Company in relation to this Scheme, including stamp duty expenses, if any, shall be allowed as deduction to the Transferor Companies and/or the Transferee Company respectively in accordance with Section 52 of the IT Act over a period of 5 years beginning with the previous year in which this Scheme becomes effective.

24. CONDUCT OF BUSINESS TILL EFFECTIVE DATE

24.1. With effect from the Appointed Date, and up to and including the Effective Date, the Transferor Companies shall carry on and be deemed to have carried on its business and activities and shall be deemed to have held and stood possessed of and shall hold and stand possessed of its entire business for and on account of and in trust for the Transferee Company respectively:

24.1.1. Carry on the business, in either name as the circumstances may be, for those unfinished or incomplete business, contracts, transactions which may be necessary to be transacted and completed;

24.1.2. All the profits or income accruing or arising to the Transferor Companies or expenditure or losses incurred by the Transferor Companies shall for all purposes be treated and deemed to be the profits or income or expenditure or losses (as the case may be) of the Transferee Company; and

24.1.3. The Transferor Companies shall carry on its business and activities with reasonable diligence and business prudence and shall not venture into/expand any new businesses, alienate, charge, mortgage, encumber or otherwise deal with the assets or any part thereof except in the ordinary course of business without the prior consent of the Transferee Company.

24.1.4. All taxes (including income tax, MAT, GST, Customs duty, VAT, etc.) paid or payable by the Transferor Companies in respect of the operations and / or the profits of the business before the Appointed Date shall be on account of the Transferor Companies respectively and, insofar as it relates to the tax payment (Including, without limitation, income tax, MAT, GST, Customs duty, VAT, etc.) whether by way of deduction at source, advance tax or otherwise however, by the Transferor Companies respectively in respect of the profits or activities or operations of its business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly.

24.1.5. Any of the rights, powers, authorities or privileges attached, related or forming part of the Transferor Companies and exercised by Transferor Companies respectively shall be deemed to have been exercised by the Transferor Companies respectively, for and on behalf of, and in trust for and as an agent of Transferee Company. Similarly, any of the obligations, duties and commitments attached, related or pertaining to the Transferor Companies that have been undertaken or discharged by the Transferor Companies respectively shall be deemed to have been undertaken/ discharged for and on behalf of the Transferee Company.

24.2. The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to the Central Government and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Transferee Company may require to carry on the business of the Transferor Companies.

24.3. For the avoidance of doubt and without prejudice to the generality of the applicable provisions of the Scheme, it is clarified as follow:

24.3.1. With effect from the Effective Date and till such time that the name of the bank accounts of the Transferor Companies has been replaced with that of the Transferee Company, the Transferee Company shall be entitled to operate the bank accounts of the Transferor Companies in the name of the Transferor Companies respectively in so far as may be necessary. All cheques and negotiable instruments, payment orders received or presented for encashment which are in the name of the Transferor Companies after the Effective Date shall be accepted by the bankers of the Transferee Company and credited to the account of the Transferee Company,

if presented by the Transferee Company. Similarly, till the time any regulatory registrations of the Transferor Companies are closed / suspended and regulatory filings are required to be done on such registrations, the Transferee Company shall be entitled to do so to comply with the relevant regulations.

24.3.2. With effect from the Effective Date, the Transferee Company shall be entitled to use all stationery, letterheads, business forms, invoices, delivery challans, contract formats, quotation formats, signage, display boards, hoardings, decals, vehicles, tools and other rental assets, safety markings, identification plates, asset branding material, promotional and marketing material, and other publicity material, etc. lying unused with the Transferor Companies or their vendors, suppliers or third party or in their supply chain or distribution channel and which the Transferor Companies are entitled to use under any statutes/ regulations, till such time as all of such items is exhausted, till such time they are replaced, removed or rendered unusable in the ordinary course of business, without making any amendment on those items.

24.3.3. With a view to avoid any disruption of business and to ensure continuity of operations, with effect from the Effective Date and till such time all critical licenses, product registrations, marketing authorizations, permits, quotas, approvals, incentives, subsidies, etc. of Transferor Companies is transferred, recorded, effected and/or perfected, in the record of the relevant governmental / regulatory authorities in all applicable jurisdictions in favor of Transferee Company, the Transferee Company shall carry on and be deemed to have been carrying on all the business and activities of Transferor Companies in the name and style of the Transferor Companies and under the relevant licenses, product registrations, marketing authorizations, permits, quotas, approvals, incentives, subsidies, etc. of Transferor Companies. Further, during such period, Transferee Company can procure or use, all material and product in the name and form/format of the Transferor Companies.

25. CONSOLIDATION OF AUTHORISED SHARE CAPITAL AND AMENDMENT OF MEMORANDUM

25.1. Upon the Scheme becoming effective, the authorised share capital of the Transferor Companies shall stand transferred, re-organised, credited and merged with that of the Transferee Company and the authorised share capital of the Transferee Company will be increased to that effect by filing requisite forms and payment of any additional fees and stamp duty, if any and no separate procedure shall be followed under the Act. Consequently, the Memorandum of Association of the Transferee Company shall without any act, instrument or deed be and stand altered, modified and amended pursuant to Sections 13, 61 and other applicable provisions of the Act.

25.2. Immediately prior to the Scheme coming into effect, the authorized share capital of the Transferor Company 1 be altered in the following manner:

a) 16,50,000 Optionally Convertible Preference Shares of INR 10/- each be altered and reclassified to 16,50,000 Equity Shares of INR 10/- each.

b) 50,000 Optionally Convertible Preference Shares of INR 10/- each be altered and reclassified to 50,000 Equity Shares of INR 10/- each.

c) 2,22,50,000 Non-Convertible Redeemable Preference Shares of Rs. 10/- each be altered and reclassified to 2,22,50,000 Equity Shares of INR 10/- each.

25.3. Accordingly, the words and figures in Clause V of the Memorandum of Association of the Transferee Company shall stand modified and be substituted to read as follows:

"The Authorised Share Capital of the Company is Rs 5,41,89,00,000 (Rupees Five Hundred Forty One Crore Eighty Nine Lakhs only) divided into 54,01,90,000 (Fifty Four Crores One Lakh and Ninety Thousand) Equity Shares of Rs 10/- (Rupees Ten) each and 1,700,000 (Seventeen Lakhs only) Redeemable Preference Shares of Rs 10/- (Rupees Ten) each with the rights, privileges and conditions attaching thereto as provided by the Articles of Association of the Company to increase or reduce such capital original or increased with or without any preference, priority or special privileges or subject to any postponement of right or to any conditions or restrictions, and so that unless the conditions of issue otherwise expressly declare, any issue of shares, whether declared to be preferential or otherwise, shall be subject to the power hereinabove contained."

25.4. In the event the authorised capital of the Transferee Company undergoes any change prior to the Effective Date, the capital clause of the memorandum of association of the Transferee Company shall be modified accordingly to take into account the effect of any such change without any further act, instrument or deed.

25.5. The approval of this Scheme under Sections 230 to 232 of the Companies Act, 2013 shall be deemed to have the approval under Section 13, 61 and other applicable provisions of the Companies Act, 2013, and any other consents and approvals required in this regard. It is clarified that the approval of the members of the Transferee Company to the Scheme shall be deemed to be their consent approval also to the alteration to the Memorandum of Association of the Transferee Company as may be required under the Act.

26. DISSOLUTION OF THE TRANSFEROR COMPANIES

On the Scheme becoming effective, the Transferor Companies shall stand dissolved without winding up and the Board and any committees thereof of the Transferor Companies shall without any further act, instrument or deed be and stand discharged. On and from the Effective Date, the name of the Transferor Companies shall be struck off from the records of the concerned Registrar of Companies.

PART D

GENERAL TERMS AND CONDITIONS

27. VALIDITY OF RESOLUTIONS

Upon the coming into effect of the Scheme, the resolutions passed by the Board of Directors and/or shareholders of the Demerged Company (relating to the Demerged Undertaking), and Transferor Companies as are considered necessary by the Board of Directors of the Resulting Company and Transferee Company, respectively, as the case maybe, and which are valid and subsisting shall continue to be valid and subsisting and be considered as the resolutions of the Resulting Company and Transferee Company, respectively, as the case maybe, and if any such resolutions have monetary limits approved under the provisions of the Act, or any other applicable statutory provisions , then the said limits as are considered necessary by the Board of Directors of the Resulting Company and Transferee Company, as the case maybe, shall be added to the limits if any, under like resolutions passed by the Board of Directors and/or the shareholders of the Resulting Company and Transferee Company, respectively, as the case maybe, and shall constitute the aggregate of the said limits.

28. DIVIDENDS AND PROFITS

28.1. The Companies shall be entitled to declare and pay dividends, whether interim or final, to their respective shareholders in respect of the accounting period prior to the Effective Date.

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ALDER RESIDENCY PRIVATE LIMITED

Kalpataru Ventures Limited

KALPATARU RESIDENCY PVT. LTD.

Developers Pvt. Ltd.

Kalpataru Limited

28.2. It is clarified, however, that the aforesaid provisions in respect of declaration of dividend are enabling provisions only and shall not be deemed to confer any right on any member of the Demerged Company and/or Transferor Companies to demand or claim any dividend which subject to the provisions of the Act, shall be entirely at the discretion of the Board of Directors and subject, wherever necessary, to the approval of the shareholders of the Resulting Company and/or Transferee Company, as the case maybe.

29. APPLICATIONS TO THE NCLT OR SUCH OTHER APPROPRIATE AUTHORITY

29.1. The Companies shall, with all reasonable dispatch, make applications to the NCLT or such other appropriate authority under Section 230 of the Act, seeking orders for dispensing with or convening, holding and conducting of the meetings of the respective classes of the shareholders, and creditors of the Companies as may be directed by the NCLT or such other appropriate authority.

29.2. On the Scheme being agreed to by the requisite majorities of the classes of the shareholders and creditors of the Companies, whether at a meeting or otherwise, as prescribed under law and / or as may be directed by the NCLT or such other appropriate authority, the Companies shall, with all reasonable dispatch, apply to the NCLT or such other appropriate authority for sanctioning the Scheme under Sections 230 to 232 of the Act, and for such other order or orders, as the said NCLT or such other appropriate authority may deem fit for carrying this Scheme into effect.

30. MODIFICATIONS / AMENDMENTS TO THE SCHEME

30.1. The Companies, through unanimous approval by their Board of Directors and/or any duly authorized persons/committee may consent on behalf of all persons concerned, to any modifications or amendments of this Scheme or to any conditions which the NCLT and/or any other authorities under law may deem fit to approve of or impose or which may otherwise be considered necessary or desirable for settling any question or doubt or difficulty that may arise in carrying out this Scheme and do all acts, deeds and things as may be necessary, desirable or expedient for putting this Scheme into effect, including but not limited to withdrawal of the Scheme before the Scheme is approved by the NCLT.

30.2. For the purpose of giving effect to this Scheme or to any modification, amendment or condition thereof, the Board of Directors and/or any duly authorized committee of the Resulting Company and/or Transferee Company are authorized to give such directions and/or to take such step as may be necessary or desirable including any directions for settling any question or doubt or difficulty whatsoever that may arise.

31. SAVING OF CONCLUDED TRANSACTIONS

The demerger and vesting of Demerged Undertaking of Demerged Company into Resulting Company and amalgamation of the Transferor Companies with the Transferee Company, pursuant to this Scheme, shall not

affect any transaction or proceedings already concluded or liabilities incurred, or any liabilities discharged by the Demerged Company (relating to the Demerged Undertaking) and Transferor Companies on or after the Appointed Date, till the Effective Date, to the end and intent that the Resulting Company and Transferee Company, as the case maybe, shall accept and adopt all acts, deeds and things made, done and executed by the Demerged Company (relating to the Demerged Undertaking), and Transferor Companies as acts, deeds and things made, done and executed by or on behalf of the Resulting Company or Transferee Company, as the case maybe.

32. CONDITIONALITIES TO THE SCHEME

32.1. This Scheme is conditional upon and subject to:

a) The approval of the Scheme by the requisite majority in accordance with the provisions of the Act of such classes of persons including the respective shareholders and/or creditors of the Companies or dispensing the meetings, as may be directed by the Hon'ble NCLT; and

b) the sanctions and orders of the Tribunal, under Sections 230 to 232 of the Act being obtained by the Parties;

c) the certified copy of the order of the Tribunal under Sections 230 to 232 and other applicable provisions of the Act sanctioning the Scheme being filed with the Registrar of Companies by the Companies;

d) The requisite consent, approval or permission of any other statutory or regulatory authority, which by law may be necessary for the implementation of this Scheme.

33. COSTS, CHARGES AND EXPENSES

All costs, charges, levies and expenses in relation to or in connection with or incidental to this Scheme or the implementation thereof shall be borne and paid for by the Resulting Company and Transferee Company, as the case maybe, unless otherwise determined by the Boards of Directors of the Companies.

34. PROPERTY IN TRUST

Notwithstanding anything contained in this Scheme, on or after Effective Date, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom pertaining to the Demerged Undertaking of the Demerged Company and the business of the Transferor Companies are transferred, vested, recorded, effected and/ or perfected, in the records of any Appropriate Authority, regulatory bodies or

otherwise, in favour of the Resulting Company or Transferee Company, as the case maybe, such company is deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement. It is clarified that till entry is made in the records of the Appropriate Authorities and till such time as may be mutually agreed by the relevant Parties, the Demerged Company and Transferor Companies will continue to hold the property and/or the asset, license, permission, approval, contract or agreement and rights and benefits arising therefrom, as the case may be, in trust for and on behalf of the Resulting Company or the Transferee Company, as the case maybe.

35. SEVERABILITY

35.1. If any part of this Scheme is found to be unworkable for any reason whatsoever, the same shall not, subject to the decision of the Companies, affect the validity or implementation of the other parts and/or provisions of this Scheme.

35.2. In the event of any inconsistency between any of the terms and conditions of any earlier arrangement amongst the Companies and their respective shareholders and/or creditors, and the terms and conditions of this Scheme, the latter shall prevail.

36. REMOVAL OF DIFFICULTIES

The Companies may, through mutual consent and acting through their respective Board of Directors, agree to take steps, as may be necessary, desirable or proper, to resolve all doubts, difficulties or questions, whether by reason of any orders of the NCLT or any directives or orders of any governmental authorities or otherwise rising out of, under or by the virtue of this Scheme in relation to the arrangement contemplated in this Scheme and / or matters concerning or connected therewith.

37. EFFECT OF NON-RECEIPT OF APPROVALS / SANCTIONS AND / OR REVOCATION OF THE SCHEME

37.1. In the event of necessary sanctions and approvals not being obtained and/or complied with and/or satisfied and/or this Scheme not being sanctioned by the NCLT and/or order or orders not being passed by such date as may be mutually agreed upon by the respective Board of Directors of the Companies, this Scheme shall stand revoked, cancelled and be of no effect.

37.2. In the event of revocation under Clause 37.1 above, no rights and liabilities whatsoever shall accrue to or be incurred inter se the Companies or their respective shareholders or creditors or employees or any other person save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and be

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Kalpataru Retail Ventures Limited

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ASPEN HOUSING PVT. LTD.

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preserved or worked out in accordance with the Applicable Law and in such case, each Company shall bear its own costs unless otherwise mutually agreed.

37.3. The Board of Directors of the Companies shall be entitled to withdraw this Scheme any time prior to the Effective Date.

37.4. Further, the Board of Directors of the Companies shall be entitled to revoke, cancel and declare the Scheme of no effect if the Board of Directors of the Companies are of view that the coming into effect of the Scheme in terms of the provisions of this Scheme or filing of the drawn up orders with any authority could have an adverse implication(s) on all or any of the Companies.

37.5. If any part of this Scheme hereof is invalid, ruled illegal by any NCLT of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Companies that such part shall be severable from the remainder of the Scheme. Further, if the deletion of such part of this Scheme may cause this Scheme to become materially adverse to the any of the Companies, then in such case the Companies shall attempt to bring about a modification in the Scheme, as will best preserve for the Companies the benefits and obligations of the Scheme, including but not limited to such part.

38. BINDING EFFECT

38.1. Upon the Scheme becoming effective, the same shall be binding on all the Companies, Appropriate Authority and all concerned parties without any further act, deed, matter or thing.

SCHEDULE 1:

Terms of New Shares:

Issuer	Kalpataru Properties (Thane) Limited
Instrument	0.01% Non-Cumulative Redeemable Preference Shares
Face Value	Rs. 10 (Rupees Ten Only)
Dividend / Coupon	0.01%
Payment of Dividend	The Redeemable Preference Shares will qualify for preferential payment of dividend at the rate set out above from the date of allotment up to the date of redemption.
Tenure	20 years
Cumulative / Non-Cumulative	Non-Cumulative
Redemption Terms	Redeemable Preference Shares shall be redeemable at the option of the Resulting Company on or before 20 years from the date of allotment.
Transferability	Transferable subject to applicable law and Article of Association of Resulting Company
Participating/ Non-Participating	Participating
Taxation	All payments in respect of dividend and redemption of Redeemable Preference Shares shall be made after deducting or withholding taxes or duties, as may be applicable.
Winding up of Kalpataru Properties (Thane) Limited	In the event of winding up of the Kalpataru Properties (Thane) Limited, the holders of the Redeemable Preference Shares shall have a right to receive the redemption amount at par and dividend, whether declared

	or not, up to the commencement of winding up, in priority to any paid-up capital on the equity shares out of the surplus but shall not have any further rights to participate in the surplus assets and profits of Kalpataru Properties (Thane) Limited which may remain after the entire preference share capital plus dividend has been repaid on winding up of the Kalpataru Properties (Thane)Limited.